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# SPECIAL EDITION | HOW BAS IS THE RISE IN BOND YIELDS?

## TRANSCRIPTION

### 0:00:10 - Emmanuel Laborde

Everyone, welcome. As we head into autumn 2026, interest rates are reaching levels never seen for many, many years. Why is this happening? Is it sustainable? And what are the implications for the economies of different countries? All these questions will be discussed over the next few minutes with the economists of BNP Paribas. Let us begin with Isabelle Mateos y Lago, chief economist of the group. Hello, Isabelle.

### 0:00:38 - Isabelle Mateos y Lago

Hello Emmanuel, hello everyone.

### 0:00:39 - Emmanuel Laborde

Thank you for being with us today. Just to begin, a simple explanation. What rates are we talking about and which countries are affected?

### 0:00:48 - Isabelle Mateos y Lago

Yes, it is very important to clarify this. So, we are talking about long-term interest rates, rates at 10 years or longer maturities, 30 years, etc. The rates at which sovereign states borrow on the market. And this is primarily something that is happening in advanced countries, so United States, United Kingdom, Japan, and then the Eurozone countries. And indeed, as you said, we are seeing since the beginning of the summer, interest rates reach levels we had not seen for about 20 years. But it is important to keep in mind that up until that point, up until the mid-2000s, the level of interest rates that we're seeing now were really quite common, quite normal, so one shouldn't overdramatize.

### 0:01:35 - Emmanuel Laborde

Why do we find ourselves in this situation and how did we get to this point?

### 0:01:41 - Isabelle Mateos y Lago

Yes, so the direct cause is that investors are demanding higher interest rates in order to lend their capital to governments. But why is this? Well, there's essentially three reasons for this, and not all of them are bad, and they're not mutually exclusive either. The top reason to my mind is that there's just greater competition for capital between sovereign states and the corporate sector, who are all facing simultaneously additional investment needs, in defense, in artificial intelligence, in energy transition, in resilience. And so, you just have greater competition for capital and that pushes up the price of capital, which is the interest rate.

Reason number two is because markets have revised upwards their expectations of how high central banks are going to be taking their interest rates.

And this mechanically translates into higher rates at the long end. And then there's a third reason, which doesn't apply necessarily in every case, but which is essentially higher sovereign risk, a kind of a risk premium, in cases where there are concerns arising about the sustainability of these public debts.



**0:02:59 - Emmanuel Laborde**

What are the implications for global economies?

**0:03:03 - Isabelle Mateos y Lago**

So that's exactly what we'll be discussing in the next segments. But basically, the two key issues are, one, an adverse impact on public finances. It's higher interest rates making it harder to balance the books in terms of public accounts. And then secondly, these higher rates tend to slow down economic growth. Of course, by how much and how serious it will be, depends on how high interest rates go and how long they stay there. But that's for the next segments.

**0:03:38 - Emmanuel Laborde**

Yes. Thank you very much, Isabelle. Having said the scene now, let's move on to the first segment with the following question. What makes debt sustainable? And let's see what H       Baudchon has to say.

Hello H       and welcome into this special edition.

**0:03:58 - H       Baudchon**

Hello Emmanuel, hello everybody.

**0:04:01 - Emmanuel Laborde**

When economists talk about public debt, they often refer to the sustainability of debt. As an economist, can you explain to us what that means and what is the debt trajectory deemed unsustainable?

**0:04:15 - H       Baudchon**

To begin with, I will say that a temporary increase in debt can be seen as a normal evolution, not particularly concerning, for instance during an economic crisis or more recently during a health crisis. In such cases, it acts as a buffer. A problem arises when the debt level never comes back down. An unsustainable trajectory can be therefore defined, characterized by a continuous regular rise in the debt level, both in absolute terms and as a proportion of GDP, driven by high and recurring fiscal deficits. And sometimes interest payments can exacerbate the problem.

**0:05:00 - Emmanuel Laborde**

In very simple terms, you are talking about the snowball effect.

**0:05:03 - H       Baudchon**

Exactly explaining why consolidation measures are needed in order to prevent such an adverse situation from occurring and in order to prevent, in fact, a sudden loss of confidence from creditors.

**0:05:16 - Emmanuel Laborde**

Regarding governments, what should serve as a warning sign for them? And at what point could the situation become, let's say, problematic?

**0:05:27 - H       Baudchon**

Well, simply speaking, when interest rates rise, not so long ago, up until 2022, Eurozone countries were borrowing at very low rates and in some instance, even negative rates. And although debt levels were already at high level at that time, the low rates helped manage debt servicing. Not much fiscal effort was needed to keep the public debt ratios in check.

**0:05:55 - Emmanuel Laborde**

Of course, we all remember this because it was a very unusual situation, but now things are very different.



**0:06:01 - Hélène Baudchon**

Yes, indeed, the situation today is clearly more challenging simply because bond yields are significantly higher and they are rising at the time of our discussion. This is for the part the result of the ECB's monetary tightening in 2022-2023 aimed at addressing the inflation shock then. Then long-term interest rates have risen as a consequence and have aligned more closely with GDP growth rate. And in technical terms, this is what we refer to as a narrowing of the "r" - "g" spread.

**0:06:41 - Emmanuel Laborde**

Why is this spread so important? Why do you, the economists, monitor it this way?

**0:06:48 - Hélène Baudchon**

Essentially, you have the interest rate "r", which determines the debt burden, while the growth rate "g" determines the trajectory of fiscal revenues. And if "r" is lower than "g", and this has been the case for many years, as you can see on the chart on the screen, it means that interest payments are increasing at a slower pace than the revenue component of the equation.

**0:07:14 - Emmanuel Laborde**

And this provides some leeway in other budgetary areas, such as education, of course, defense, maybe pensions.

**0:07:22 - Hélène Baudchon**

Yes, indeed. And this is what we refer to as the primary budget. However, if and when interest rates do go up while the economy isn't growing that much faster, then fiscal leeway diminishes.

**0:07:35 - Emmanuel Laborde**

Crystal clear. Now, just could you provide a few last words to wrap up the sustainability segment?

**0:07:43 - Hélène Baudchon**

Well, to conclude, we are entering a period which demands greater fiscal discipline or, as some might say, less indiscipline in order to manage debt trajectories effectively, in particular in the countries which have high debt levels. And for instance, the Italian case is an interesting one because it is well known for its high debt level ratio. But in fact, it also has an advantageous position because it has no primary deficit. In fact, it even benefits from a large primary surplus.

**0:08:22 - Emmanuel Laborde**

As for the countries... For the other countries... I stop you because this will be a discussion with Guillaume Derrien during the next segment. Thank you very much, Hélène.

**0:08:30 - Hélène Baudchon**

Thank you, Emmanuel.

**0:08:36 - Emmanuel Laborde**

Hello, Guillaume. Welcome.

**0:08:37 - Guillaume Derrien**

Thank you.

**0:08:38 - Emmanuel Laborde**

Hello, Emmanuel, and hello to everyone. The flexibility of fiscal policy depends heavily on interest rates, which have increased considerably over the past few months. The question is, where do we stand today?

**0:08:52 - Guillaume Derrien**

So, long-term rates have increased in all advanced economies, reaching levels not seen since 2008 in Europe and in the United States, and even since 1996 in Japan. Fortunately, the effective rate that states pay on their debt is lower than those headline figures suggest, simply because the average maturity of debt is relatively long. Precisely how long are we talking about? So, it's about 10 years in Japan, 13 years in the United Kingdom, and 8.5 years in France. That means that most of the debt was raised before rates started climbing.

For example, in France, the effective rate just recently rose above the 2% mark, which is significantly lower than the 10-year bond yield, which exceeded 4% for new issuances.

That said, in the United States, which has an average maturity of roughly six years, is experiencing a more rapid increase in its effective rate.

**0:09:54 - Emmanuel Laborde**

And this rate increase is happening in the context of high debt-to-GDP ratios and with modest growth, correct? Yes, that's correct.

**0:10:05 - Guillaume Derrien**

Debt levels have reached unprecedented heights since the end of World War II. And at the same time, growth is lower, hovering around 2% on average in the United States, 1% in Europe and 0.5% in Japan. What does that mean for debt servicing costs? So, debt servicing cost is already relatively high, but it is expected to grow further as debt issue before the 2022 rate hikes mature and are replaced with new instruments bearing higher interest rates. By 2030, interest costs could rise to levels last seen in 2000, specifically in France, around 4% of GDP.

Are all the countries equally affected by these trends? Actually, no. Some countries are managing to reduce their debt level.

Spain, Italy, even Japan have sufficiently improved their primary balance to achieve this, at least for the time being. And of course, we must speak about Germany. Yes, Germany is implementing investment programs that result in a higher public deficit and debt-to-GDP ratio. But this ratio started from a relatively low base at around above 60% of GDP. That said, in this current context, German bonds have risen. And because German bonds are used as a benchmark for Europe, it raises rates across all Eurozone countries. Is France the only country seeing its public debt go up?

No, it's not, Emmanuel. This is happening in the United Kingdom and in the United States. These economies, like France, are running public deficits that are ever close or exceed 5% of GDP, which is too large for debt ratio to stabilize on its own.

France and the United Kingdom are trying to gradually reduce their public deficit so as not to compromise growth. The United States is not going on that path yet, but market pressure could eventually force them to do so.

**0:12:08 - Emmanuel Laborde**

Thank you very much for your input, Guillaume. Thank you, Emmanuel. Let's go to the next segment. It's about the impact of rising bond yields on financing and investments in the Eurozone.

**0:12:26 - Thomas Humblot**

Hello, Thomas. Welcome. Hello. Thank you for having me today.

**0:12:30 - Emmanuel Laborde**

We've just seen what's behind the rise in Eurozone bond yields. This rise is partly attributed to the sovereign spread. What impact will this have on the economy?

**0:12:42 - Thomas Humblot**

Actually, this widening of some government bond spreads is obviously not good news, but it tends paradoxically to have less impact than an increase in long-term interest rates that does not include the sovereign risk premium. For example, in France, for a very long time, it has been considered that the 10-year OAT was the relevant benchmark for fixed loans. And at that time, the spread on French government bonds was relatively stable. But since 2024, that spread increased

significantly and that renders the sovereign yield a less relevant benchmark.

And now the most relevant benchmark is the swap rate because it determines the cost of bank funding that backs new loans.

**0:13:56 - Emmanuel Laborde**

Since the end of 2024, we have seen a rise in long-term 10-year swap rates. What impact does this have on bank lending rates?

**0:14:08 - Thomas Humblot**

Fixed loans have obviously become more expensive, but to a lesser extent than if they were priced solely based on long-term sovereign rates. And what about existing fixed-rate loans?

There is no impact. An increase in rates for the entire maturity of a loan does not have any effect if it is a fixed-rate loan. Borrowers with outstanding loans are therefore protected. Obviously, new fixed loans are granted at higher rates. And this sharply contrasts with a floating-rates loans.

Because with floating-rates loans, borrowers experience regular rate adjustments throughout the term of the loan. And in terms of bank financing? Strictly in terms of bank financing, an increase in short-term rates has an immediate and widespread restrictive impact on borrowers, while for long-term interest rates, the impact is more gradual, and it comes gradually as the outstanding amount of fixed-rate loans are progressively renewed. And the thing is that since the beginning of the war in Iran, we have seen a combination of the two.

And in practical terms, the rate of new bank loans to non-financial corporations has increased about 25 basis points in the eurozone since the beginning of the year.

**0:16:12 - Emmanuel Laborde**

Just a few words about companies that borrow directly from the market.

**0:16:16 - Thomas Humblot**

Well, in that case, the impact is even more straightforward. The rate at which a company borrows from the market is the risk-free rate plus a premium.

**0:16:28 - Emmanuel Laborde**

Have risk premiums, known as corporate credit spreads, also increased?

**0:16:34 - Thomas Humblot**

Yes, they have increased temporarily at the beginning of the year but have returned to normal since. For the time being, the widening remains moderate for the highest-rated investment-grade issuers.

However, some significant bond issuance in the euro debt market due to some major US technology companies has increased spreads for longer maturities.

**0:17:11 - Emmanuel Laborde**

In particular terms, how does this affect the investment decisions of the companies?

**0:17:19 - Thomas Humblot**

Well, investments that were previously worthwhile due to returns sufficient to cover the cost of capital may no longer do so and in turn that might lead to a decrease in demand for financing.

**0:17:40 - Emmanuel Laborde**

Thank you very much Thomas. Now let us move on to the emerging economies. And it is with Cynthia Kalasopatan-Antoine.

Hello Cynthia, and welcome.

**0:17:54 - Cynthia Kalasopatan-Antoine**

Hi, Emmanuel. Hello, everyone.

**0:17:57 - Emmanuel Laborde**

Long-term bond yields rose significantly in advanced economies over the summer. What can we now say about emerging markets?

**0:18:06 - Cynthia Kalasopatan-Antoine**

Emerging bond markets held up well, which is quite unusual. The rise in long-term sovereign yields in emerging countries has been less pronounced than in advanced economies, including the United States and Germany. Now, there are two main exceptions, Turkey and Poland. Meanwhile, we did not witness any significant correction in emerging financial markets over the summer, and the main currencies appreciated slightly against the dollar or the euro.

**0:18:37 - Emmanuel Laborde**

Does this mean that public finances are more robust in emerging countries?

**0:18:43 - Cynthia Kalasopatan-Antoine**

Well, it depends. You see, in cases like the Czech Republic and South Korea, public debt is moderate and macroeconomic fundamentals are solid. However, these countries are now less frequently considered as emerging and tend to be viewed as newly advanced economies. By contrast, Brazil and South Africa have weaker public finances and investors have already incorporated a higher sovereign risk into their assessments. And this is reflected in the bond yields. And this assessment of sovereign risk did not really change over the summer.

**0:19:26 - Emmanuel Laborde**

When comparing the main fiscal metrics, what are the trends? What do you see as an economist?

**0:19:33 - Cynthia Kalasopatan-Antoine**

On average, the fiscal metrics in emerging markets are not substantially worse than those in advanced economies. The average budget deficit levels are similar, ranging from 4% to 5% of GDP in 2025-2026, according to the IMF. And as in advanced economies, the public debt is higher than its pre-Covid level. However, the average public debt to GDP ratio in emerging countries excluding China is close to 60%, whereas in advanced economies, it is above 100%.

**0:20:12 - Emmanuel Laborde**

Do you arrive at the same conclusion when comparing debt sustainability criteria?

**0:20:17 - Cynthia Kalasopatan-Antoine**

Well, there are significant regional differences. In emerging Asia, the factors that determine debt sustainability are more often favorable than those in advanced economies. In Central Europe, the gap between the interest rate paid on debt and the GDP growth rate is also favorable. However, the primary deficits in some countries are high.

**0:20:45 - Emmanuel Laborde**

In a few words, a brief overview of the situation in Latin America.

**0:20:49 - Cynthia Kalasopatan-Antoine**

Well, Brazil and Mexico are in a less favorable position. These countries would indeed need to generate a significant primary budget surplus each year in order to stabilize their debt in the medium term.



**0:21:07 - Emmanuel Laborde**

Economists use the term original sin, which refers to the situation when governments resort to borrowing in foreign currency to address the shortfall in domestic financing. Does this phenomenon continue to distinguish emerging countries?

**0:21:24 - Cynthia Kalasopatan-Antoine**

Yes, this is still the case. Emerging countries still have a significant share of their debt in foreign currency. This represents about 35 to 40% of their total debt on average. And in fact, now, this figure has decreased over the past decade, and this contributes to their resilience. However, governments in emerging markets have a less favorable position as regards their debt profile and their financing costs are also on average higher.

**0:22:02 - Emmanuel Laborde**

And finally, just a few words about a larger subject, China.

**0:22:07 - Cynthia Kalasopatan-Antoine**

China's public debt is significant and growing rapidly. That being said, it is denominated in domestic currency and issued in domestic markets. This debt is, however, sustainable in the medium term due to a very low effective interest rate and a high growth rate.

**0:22:29 - Emmanuel Laborde**

Thank you very much, Cynthia, for being with us today.

**0:22:32 - Cynthia Kalasopatan-Antoine**

Thank you.

**0:22:33 - Emmanuel Laborde**

It is now time to conclude, and we welcome back Group Chief Economist Isabelle Mateos y Lago.

It is time for our conclusion with Isabelle. Once again, just a final question, please. Could or should, I do not know which word is the good one, central banks intervene to curb this rise in interest rates?

**0:22:58 - Isabelle Mateos y Lago**

Absolutely not. The main contribution that central banks can bring to dealing with this situation is to restore price stability, as is their mandate, as promptly as possible. And in the current circumstances, this means keeping relatively high policy rates, in some cases, rising them further. And the responsibility for keeping public finances on a sustainable footing rests squarely with governments and any attempt by these governments to instead take the easy way out by pressuring central banks to lower interest rates prematurely would be enormously counterproductive.

**0:23:41 - Emmanuel Laborde**

Thank you very much, Isabelle. Thank you all for joining us today. Just a few words to remind you that additional economic research content can be found by scanning the QR code shown on your screen. Do not hesitate to use it with your smartphone. It is very easy. It was a pleasure to be with you today. Have a nice day and hope to see you so



## EDITORIAL

3

## ARGENTINA VERSUS TÜRKİYE: WHEN DISINFLATION STRATEGIES ARE COMPARED, THE PICTURE IS NOT ROSY IN ARGENTINA

Among emerging markets, Argentina and Türkiye stand out for their particularly high consumer price inflation, currently standing at around 30% year-on-year in both countries. However, the monthly increase rate has fallen sharply – from around 8% in Argentina and 4% in Türkiye on average in 2023 to around 2% for both countries during the summer of 2026. The economic policy strategies adopted by governments and monetary authorities to bring inflation under control are very different. However, their consequences are too, and they are not positive for Argentina.

### HUGELY DIFFERING ECONOMIC POLICIES THAT ARE NOT REFLECTED IN OVERALL ECONOMIC GROWTH

In Argentina, since Javier Milei took office, the strategy has been based on:

- 1/ A highly restrictive fiscal policy,
- 2/ A monetarist policy<sup>1</sup> entirely focused on the objective of disinflation, entailing high volatility in monetary interest rates,
- 3/ An exchange-rate regime which is still constrained by fluctuation bands.

In Türkiye, the strategy is based on:

- 1/ A fiscal policy of measured control of the public deficit,
- 2/ A monetary policy of interest-rate guidance compatible with a disinflationary path that can be revised as a result of unforeseen events,
- 3/ A floating exchange rate regime with occasional and limited interventions by the central bank should the lira drift off course.

In short, the Argentine government has opted for shock therapy, while the Turkish government and central bank have opted for flexible orthodoxy.

So far, Argentina's growth has held up well against the shock therapy. GDP has grown by just 4% since 2023 (compared with 8% for Türkiye), but this underperformance is actually a good result. Indeed, shock therapy is generally followed by a period of recession that can last several years, as was the case in Poland in the early 1990s.

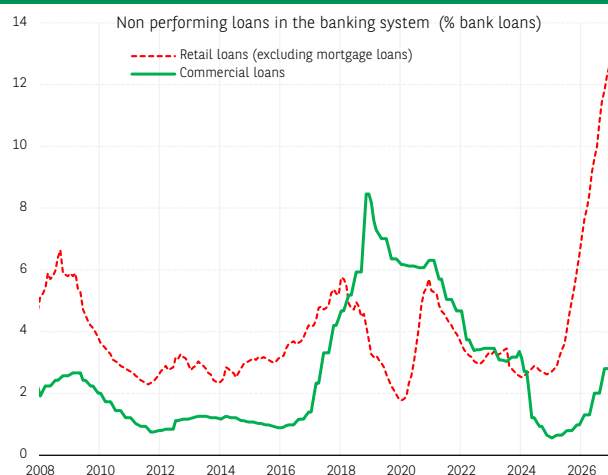
Therefore, when judged against the two main macroeconomic indicators, the results of the two economic policy strategies are positive, as inflation has fallen sharply and growth has been strong or resilient.

### HOWEVER, IN ARGENTINA, MILLIONS OF HOUSEHOLDS HAVE SEEN THEIR CREDITWORTHINESS DWINDLE AS A RESULT OF ECONOMIC POLICY

The Argentine authorities have received a *satisfecit* from the IMF for the radical economic policy pursued by Javier Milei's government. This radical shift was needed not only to curb inflation, but also to restore public finances. However, Argentina's macroeconomic picture contains a worrying grey area, as households' ability to repay non-mortgage loans has very worryingly deteriorated since spring 2025, both in terms of the speed and scale of the decline – a situation not seen since 2008.

<sup>1</sup> Growth in monetary aggregates is the only instrument.

### Significant deterioration in the creditworthiness of Argentine households



SOURCE: CENTRAL BANK OF ARGENTINA (BCRA), BNP PARIBAS

The Central Bank of Argentina estimates that 5.8 million people are more than 90 days in arrears on their loan repayments, and around half of these loans are viewed as irrecoverable. In Türkiye, there has also been an increase in non-performing loans for household loans excluding mortgage loans, but to a much lesser extent (from just under 3% at the end of 2023 to around 4.5% at present).

Growth in Argentina has been particularly unbalanced since 2024, as it has been driven mainly by the agricultural sector (+50% since 2023), the fishing sector (+14%) and the mining sector (+24%). Conversely, activity in the construction sector contracted by 13%, while manufacturing-sector activity fell by 9%. Growth has also been driven by the financial-intermediation sector. Activity in this sector has likely benefited from the easing of exchange controls. However, growth has been so strong (+23% since 2023) that it has been fuelled by rising household debt, as households have faced a major shock to their incomes.

The federal government's wage bill has fallen by 0.7 pp of GDP since 2023, while it has risen by 1.2 pp in Türkiye. In Argentina, the recession in the aforementioned economic sectors has led to a 3% fall in private-sector wage employment and a 9% fall in real wages.



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Conversely, in Türkiye, both figures have risen by 6% and 27%, respectively. Finally, in Argentina, current transfers to households from the federal government have fallen by 2 pp of GDP, compared with a reduction of 1.1 pp in Türkiye<sup>2</sup>.

Against this backdrop, Argentine households have been forced to take on debt. The sharp upturn in bank lending from mid-2024 onwards, coupled with easier access to credit proposed by major retail chains and loans at exorbitant interest rates offered by new-economy firms to their employees, have fuelled debt traps. In Argentina, the average real interest rate on personal loans stood at 64% in August, compared with 30% in Türkiye<sup>3</sup>.

### A RISK OF PROLONGED STAGNATION OR EVEN RECESSION IN ARGENTINA

The IMF does not view the rise in non-performing loans as a risk to the Argentine economy, as the household debt ratio is low (at around just 5% of GDP), a level well below other Latin American countries. Furthermore, the rise in corporate non-performing loans remains contained. However, lending to households, excluding mortgages, accounts for around 50% of the banking sector's total lending to the private sector, which is still 22% of the total assets.

In summary, while Milei's government's shock therapy, implemented since 2024, has undeniably succeeded in tackling inflation, millions of Argentine households have been caught in a debt trap, which is not the case in Türkiye. The risk of a systemic credit crisis for the Argentine banking system may be low. But the risk of prolonged stagnation or even a recession is very high. Indeed, household consumption is bound to slow sharply. Growth will then rely exclusively on agricultural and mining-product exports, which look set to experience a loss of momentum.

François Faure

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<sup>2</sup> In Türkiye, this is a pro-cyclical decline, whereas in Argentina, the decline is due to restrictive measures, particularly around subsidies.

<sup>3</sup> These average rates do not include credit-card interest rates, which are by far the highest. Furthermore, in Türkiye, the rate includes mortgage rates, meaning that the comparable rate with Argentina is higher. However, this would only marginally reduce the gap.



[Find out more in our scenario and forecasts](#)

#### UPCOMING DATA

- **UN General Assembly:** President Trump will be meeting with several foreign leaders including Ms. Takaichi and Messrs. Burnham, Xi, and Zelensky.
- **Advanced Economies:** September flash PMIs (Wednesday/Thursday).
- **United States:** Sept. Richmond manufacturing survey (Monday), August durable goods orders (Friday).
- **European Union:** EC consumer confidence flash (Tuesday), Germany September Ifo and France INSEE business climate (Thursday), August credit and money supply (Friday).

#### ADVANCED ECONOMIES

##### EUROZONE / EUROPEAN UNION

**ECB speakers temper hawkish tone even as incoming data points to resilience.** Several Governing Council members confirmed the ECB might need to increase interest rates further but signaled they saw no haste to do so (including President Lagarde and Vice-President Vujicic). (We foresee a final 25 bps hike in December). In July, **exports** rose 1.2% m/m while imports fell 0.4% m/m; exports to the US rebounded (+6.0% m/m), offset by a similar decline in sales to China. **Industrial production** fell less than expected in July (-0.1% m/m, -0.3% m/m for manufacturing), held back by lower motor vehicle output, while computer and electronic equipment bounced back sharply. Forward-looking PMI and EC surveys signal further improvement ahead. The ECB wage tracker points to a pick-up in wage growth in 2027 after stabilising in H2 2026, with the base-wage index reaching 2.9% y/y in June 2027—though not signaling “second-round effects” from the ongoing inflation spike. Consumer inflation expectations (ECB survey) edged up in August, however, with the median up 0.1 pp both for one year (3.0%) and five-year (2.5%) ahead. The ECB’s Supervisory Banking Statistics revealed a **strong banking system as of end-Q2 2026**. Capital ratios remain at record highs (16% in Q2 2026 for CET1), whilst non-performing loan (NPL) ratios were at record lows (2.2%). Return on Equity reached a peak not seen since 2015 at 10.73, thanks to a cost-to-income ratio at its lowest level since 2015 and stable net interest margins.

**Transatlantic relations: Two surprise rapprochements.** On Friday, President Trump announced the US had reached an agreement with Denmark and Greenland giving the US “permanent control over security and other needs” including by restricting the rights of non-NATO members in the territory. Denmark confirmed the deal should be signed soon. Also unexpectedly, President Von der Leyen used her SOTEU speech to offer Canada “associate membership” in the EU, an undefined status that does not exist in the EU treaties and would require unanimous approval from the 27 member states.

**France: Higher fiscal deficit and lower growth forecasts overshadow positive news on business starts.** Prime Minister S. Lecornu announced that the budget deficit is expected to reach 5.4% of GDP in 2026, versus 5% targeted and 5.1% in 2025. This overrun stems mainly from interest payments, fuel subsidies, and below-forecast growth. The draft budget for 2027 is expected to target a deficit of 5% of GDP. Government spending would be completely frozen (excluding interest payments and defence), and the fiscal effort would aim to be more evenly distributed than in the past.

Meanwhile, the **Banque de France (BdF)** has lowered its growth forecast from 0.5% to 0.4% for 2026 and left unchanged its forecast for 2027 at 0.9%. The **OAT-bund spread topped 100 bps** on Friday, its highest since 2012. More positively, **business creations rose 16% y/y in August** and 12% y/y YTD. The strongest growth was seen in the information and communications sector (+57% y/y; Ytd +46% y/y) and business services (+15% y/y; Ytd +19% y/y). According to the BdF, business insolvencies increased by 4.6% y/y after +5.1% y/y in June. They are declining in construction (-2.4% y/y), stabilising in retail, but continuing to rise in certain service sectors. According to Altarès, late payments fell to their lowest level in three years. Wage growth accelerated to 2.4% y/y in Q2 from 2.1% y/y in Q1, mainly driven by the increase of the minimum wage in June.

**Germany: Confidence and producer price inflation rise to new highs.** The current economic situation index rose by 14 pts to its highest level since May 2023 (at -47.1 in the ZEW survey for September. The Economic expectations index rose by 0.5 pts to 34.7, its highest level since February 2026. Improvements were seen across all sectors, with only construction and retail remaining below their pre-Iran war levels. Wholesale prices rose by 6.8% y/y in August (vs. +5.3% in July) due to energy prices, while PPI grew by 4.6% y/y (vs. +3.0% in July and +4.1% expected). Prices for intermediate goods rose by 6.1% (from 5.4%) due to a surge in metal prices.

##### UNITED KINGDOM

**A hawkish BOE hold as inflation picks up and activity data reassures.** The Bank of England left the Bank Rate unchanged at 3.75% (6-3 vote), as expected, but shifted its tone to suggest readiness for a conditional 25bp ‘insurance’ hike to 4% in November. More unexpectedly, the BOE announced significant **quantitative tightening (QT) relief** with a new Gilt divestment schedule through 2034 that features a pause in active sales until April 2027, direct sales to the Treasury’s debt management office (instead of to the market), and a cessation of sales for bonds maturing after 2049. Gilts rallied on the news. **Headline CPI accelerated** to 3.1% y/y in August (vs. 2.9% in July), meeting market expectations, primarily driven by rising transport and fuel costs, notably diesel (+8.0% m/m). Core CPI remained stable at 2.6% y/y. **Retail sales volumes unexpectedly rebounded** to 0.5% m/m in August (2.4% y/y), despite a drop in fuel sales. **Unemployment held steady at 4.9%** in July for the fourth consecutive month (vs. 5.0% expected). Wage growth accelerated slightly to 3.5% in the 3 months to July, driven by the public sector (+6.7%).

##### UNITED STATES

**Kevin Warsh’s Fed delivers.** The Fed convincingly set aside doubts regarding its seriousness about restoring price stability by not only raising the Fed funds target range by 25bp to 3.75-4.00% (as widely expected), but doing so unanimously, and with strong ownership by Chair Warsh, who hawkishly described the move as “removing a dose of accommodation”. 16 (out of 19) FOMC members now expect another hike by year-end, and 8 expect another to be necessary thereafter. The FOMC statement and Summary of Economic projections both expressed confidence in the strength of US economy, with not a single member seeing risks tilted to the downside (a first since 2017). The Committee foresees inflation returning to its 2% target before 2029, with unemployment falling to 4.1% and GDP growth revised higher and remaining above trend through



[Find out more in our scenario and forecasts](#)

2028, *i.e.*, immaculate disinflation. We expect at least two more rate hikes, with the next one in December as our base case, but October not ruled out. In other news, in July, **foreign private investors turned net sellers** of Treasury bonds and notes (USD -29bn) and US equities (USD -10bn), while non-resident official investors turned net buyers (USD +25bn and USD +14bn, respectively). However, private investors' cumulative net purchases of equities since the beginning of the year exceed those of last year (+386 bn vs. +269 bn). The cumulative net purchases of Treasuries by the official sector remain modest (+22 bn 7M26 vs. +10 bn 7M25). Latest data points to **continued strength in price pressures and activity, except in housing**: Further inflationary impulse is evident from import prices (+7% y/y in August, a four-year high, largely driven by AI-related capital goods) and from the Philadelphia Fed index of delivery times and backlog gauges hitting their highest levels since 2022. August retail sales were robust (+1.2% m/m, +1.4% m/m for the core) and jobless claims fell more than expected by 10k to 196k, one of the lowest readings since 1969. Housing indicators weakened further in August, with both building permits and housing starts falling (-2.7% and 2.6% m/m, respectively). Separately, the **Clarity Act failed in the Senate** before reaching the floor. The Act aimed to provide a federal regulatory framework for cryptocurrencies and stablecoins and was seen as a booster to their expansion.

#### JAPAN

**An insufficiently hawkish rate hike as reflation continues.** The Bank of Japan (BOJ) raised its benchmark interest rate by 25 bps to 1.25%, a level not seen since 1995. The move had been expected, and Governor Ueda tried to sound hawkish at the press conference, stressing the focus had now shifted to preventing above-target inflation. However, the lack of unanimity of the decision disappointed markets (2 members appointed by Prime Minister Takaichi dissented). The currency weakened markedly following the decision, to 157 per dollar. Headline **CPI was stable at 1.9% y/y in August**, as was core CPI excluding fresh food and fuel, holding at its fastest pace in three months and pointing to relatively persistent underlying demand-driven price pressures. As such, we expect the BOJ to continue to tighten monetary policy to 1.75% by March 2027. **Exports rose 19.3% in August**, topping market consensus, supported by robust demand for AI-related chips. Industrial production fell 0.2% m/m in July, defying estimates of a 0.1% rise and marking its first decline since March. **Machinery orders remained strong**, increasing 11.2% y/y, despite a volatile m/m decline. The capacity utilisation index rose 0.5% m/m to its highest level since December 2023. PM Takaichi has proposed a **temporary food tax cut** (from 8% to 1%) through 2029. Despite government plans to avoid additional borrowing, the reform faces market skepticism regarding long-term fiscal discipline and internal party dissent.

#### EMERGING ECONOMIES

##### EUROPE, MIDDLE EAST, AFRICA

**Czech Republic: Monetary policy on hold as expected** at 3.75%. The Central bank remains the most hawkish in the region and has floated the possibility of a rate hike by year-end.

##### ASIA

**China: A continued K-shaped growth.** August activity data confirmed the wide divergence between solid growth of external demand-driven manufacturing sectors and sluggish growth of sectors dependent on domestic demand. Industrial growth accelerated to +5.2% y/y from +4.5% in July, notably supported by semiconductor production (+20.6% y/y). The contraction in production of refined

products eased in August (-6.9% y/y vs. -16.8% in June-July), following the recent rebound in Chinese crude oil imports. Meanwhile, growth in services continued to slow (+4.1% y/y vs. +4.3% in July). Household spending barely increased in August, as suggested by weak retail sales (-0.4% y/y in volume), the continued decline in bank loans to households (-1.6% y/y) and falling housing sales (-16.2% y/y in volume). Total investment continued to contract (-7.2% y/y in nominal terms in the first eight months of 2026). Nevertheless, the **Yuan hit a four-year high** ahead of a Trump-Xi meeting next week.

**Rest of Asia: Inflation reacceleration in several economies.** In **India**, CPI inflation accelerated to 4.8% y/y in August from 4.5% in July, with food inflation rising to 6% and core inflation at 4.2%. Inflation is no longer confined to food and transport. With the US monetary tightening, expectations of rise in policy rates by the end of the year have increased, although the timing remains dependent on oil prices and downward pressure on the rupee. In **Malaysia**, August CPI at 1.9% y/y (vs. 1.8% in July) remains benign despite energy price pressures. **Elsewhere in SEA**, inflation is mixed: Thailand at 2.5% (vs. 1.9% in July), Philippines almost stable at 6.1%, Indonesia at 3.2% (vs. 2.9%) and Vietnam at 4.9% (vs. 4.5%).

#### LATIN AMERICA

**Argentina: Second estimates of real GDP for Q2 confirm the contraction (-0.6% q/q).** All components of domestic demand fell, especially private consumption (-2.4%). The contraction would have been worse without the large positive contribution of net exports (+1.6 pp). In y/y terms, growth decelerated to only 1.4%.

**Brazil: The Selic rate was cut by 25 basis points to 13.75%.** The Central bank keeps a "meeting-by-meeting" prudential approach to preserve its flexibility. Three weeks before the first round of the presidential election (October 4), the Copom avoids giving any strong signal that could be interpreted as a political stance.

#### ENERGY

**Stabilisation at high levels:** Brent oil prices remain above 100\$/b but stabilised at a slightly lower level than last week, on hopes of a new diplomatic round in Iran and expectations of a rapid restoration of the Saudi East-West pipeline. However, physical crude markets remain severely dislocated (Brent physical/future spread is above 20\$/b against 3\$/b on average in August) and diesel crack spreads remain near their highs (above 90 \$/b in Europe and above 110 \$/b in the US) as market tensions are stronger than for crude. On Friday, President Macron called a special G7 Summit to discuss additional release of Strategic Petroleum Reserves. European gas prices were almost stable during the week (77 €/MWh on Monday 21<sup>st</sup>). EU storage reached a better than expected 68.8% of full capacity (September 17<sup>th</sup>). In Asia, JKM continues to rise (+7.5% w/w) on the back of unusually hot temperatures in Japan.



# MARKETS OVERVIEW

7

## Bond Markets

|                | In %       | In bps |         |              |        |
|----------------|------------|--------|---------|--------------|--------|
|                | 18/09/2026 | 1-Week | 1-Month | Year to date | 1-Year |
| Bund 2Y        | 3.27       | +27.3  | +41.7   | +117.7       | +127.6 |
| Bund 5Y        | 3.34       | +23.4  | +37.9   | +87.6        | +108.8 |
| Bund 10Y       | 3.50       | +14.5  | +26.9   | +63.8        | +82.7  |
| OAT 10Y        | 4.48       | +34.5  | +47.9   | +98.4        | +102.2 |
| BTP 10Y        | 4.44       | +22.6  | +40.4   | +94.2        | +90.3  |
| BONO 10Y       | 3.95       | +17.7  | +28.7   | +70.6        | +72.3  |
| Treasuries 2Y  | 4.77       | +38.6  | +60.6   | +129.0       | +116.4 |
| Treasuries 5Y  | 4.88       | +33.4  | +51.3   | +115.1       | +121.9 |
| Treasuries 10Y | 5.00       | -1.2   | +29.8   | +83.8        | +3.2   |
| Gilt 2Y        | 4.76       | +27.8  | +35.7   | +100.7       | +78.6  |
| Treasuries 5Y  | 4.91       | +23.2  | +29.8   | +106.6       | +80.9  |
| Gilt 10Y       | 5.30       | -3.9   | +13.8   | +47.6        | +17.2  |

## Currencies & Commodities

|                     | Level      | Change, % |         |              |        |
|---------------------|------------|-----------|---------|--------------|--------|
|                     | 18/09/2026 | 1-Week    | 1-Month | Year to date | 1-Year |
| EUR/USD             | 1.15       | -1.5      | -1.0    | -2.4         | -2.7   |
| GBP/USD             | 1.34       | -1.4      | -1.3    | -0.7         | -1.4   |
| USD/JPY             | 157.42     | +2.0      | -1.3    | +0.4         | +6.4   |
| DXY                 | 100.22     | +1.1      | +0.6    | +1.9         | -0.0   |
| EUR/GBP             | 0.86       | -0.1      | +0.3    | -1.8         | -1.3   |
| EUR/CHF             | 0.94       | +0.4      | +0.4    | +1.5         | +1.2   |
| EUR/JPY             | 180.44     | +0.5      | -2.4    | -2.0         | +3.5   |
| Oil, Brent (\$/bbl) | 103.95     | +6.8      | +14.2   | +70.8        | +54.0  |
| Gold (\$/ounce)     | 4352       | -1.4      | -0.2    | +0.6         | +19.6  |

## Equity Indices

|                      | Level      | Change, % |         |              |        |
|----------------------|------------|-----------|---------|--------------|--------|
|                      | 18/09/2026 | 1-Week    | 1-Month | Year to date | 1-Year |
| <b>World</b>         |            |           |         |              |        |
| MSCI World (\$)      | 4914       | -1.6      | -1.2    | +10.9        | +14.8  |
| <b>North America</b> |            |           |         |              |        |
| S&P500               | 7651       | -0.9      | -0.5    | +11.8        | +15.4  |
| Dow Jones            | 51683      | -3.2      | -3.1    | +7.5         | +12.0  |
| Nasdaq composite     | 26523      | +0.1      | +0.9    | +14.1        | +18.0  |
| <b>Europe</b>        |            |           |         |              |        |
| CAC 40               | 8065       | -2.9      | -5.2    | -1.0         | +2.7   |
| DAX 30               | 25304      | -2.7      | -3.2    | +3.3         | +6.9   |
| Eurostoxx50          | 6236       | -2.6      | -3.6    | +7.7         | +14.3  |
| FTSE100              | 10659      | -1.5      | -0.6    | +7.3         | +15.5  |
| <b>Asia</b>          |            |           |         |              |        |
| MSCI, loc.           | 1948       | -1.7      | -1.9    | +15.3        | +21.9  |
| Nikkei 225           | 65019      | -2.1      | -3.6    | +29.2        | +43.5  |
| <b>Emerging</b>      |            |           |         |              |        |
| MSCI Emerging (\$)   | 1711       | -2.6      | +1.0    | +21.7        | +27.1  |
| China                | 72         | -2.4      | -4.0    | -12.7        | -17.7  |
| India                | 921        | -2.9      | -3.4    | -13.0        | -12.4  |
| Brazil               | 1914       | -1.5      | +9.7    | +16.3        | +21.3  |

## Performance by sector

### Eurostoxx600

Year 2026 to 18-9, €

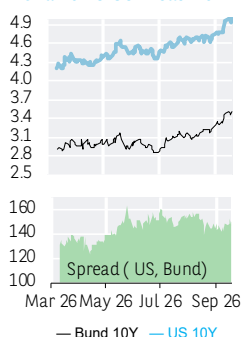
|              |                     |
|--------------|---------------------|
| +35.9%       | Oil & Gas           |
| +23.5%       | Commodities         |
| +19.5%       | Banks               |
| +18.2%       | Technology          |
| +12.4%       | Chemical            |
| +10.6%       | Telecoms            |
| +8.6%        | Utilities           |
| +8.2%        | Industry            |
| <b>+7.3%</b> | <b>Eurostoxx600</b> |
| +6.7%        | Insurance           |
| +4.4%        | Financial services  |
| -1.6%        | Food industry       |
| -3.3%        | Health              |
| -3.7%        | Travel & leisure    |
| -5.2%        | Media               |
| -5.4%        | Real Estate         |
| -6.6%        | Retail              |
| -7.7%        | Construction        |
| -16.7%       | Consumption Goods   |

### S&P500

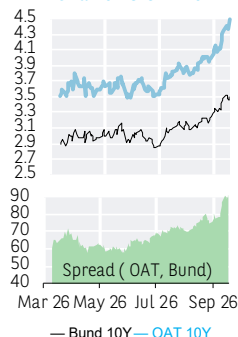
Year 2026 to 18-9, \$

|               |                            |
|---------------|----------------------------|
| +42.7%        | Energy                     |
| +38.3%        | Semiconductors             |
| +36.4%        | Tech. Hardware & Equip.    |
| +16.8%        | Pharmaceuticals            |
| +12.0%        | Capital Goods              |
| <b>+11.8%</b> | <b>S&amp;P500</b>          |
| +11.5%        | Food, Beverage & Tobacco   |
| +9.5%         | Materials                  |
| +5.9%         | Bank                       |
| +3.6%         | Consumer Discretionary     |
| +3.4%         | Media                      |
| +2.2%         | Insurance                  |
| +1.5%         | Retail                     |
| -0.4%         | Telecoms                   |
| -4.4%         | Utilities                  |
| -5.1%         | Healthcare                 |
| -7.0%         | Commercial & Pro. Services |
| -9.0%         | Consumer Services          |
| -17.4%        | Automobiles                |
| -29.6%        | Real Estate                |

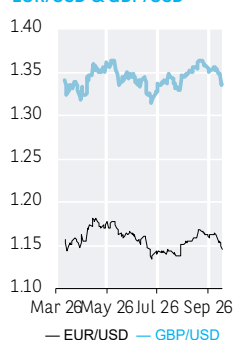
### Bund 10Y & US Treas. 10Y



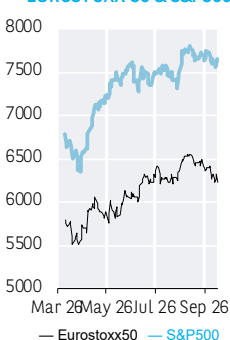
### Bund 10Y & OAT 10Y



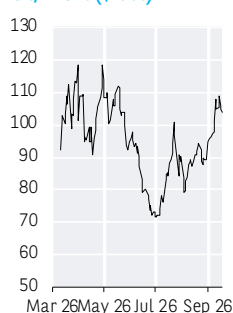
### EUR/USD & GBP/USD



### EUROSTOXX 50 & S&P500



### Oil, Brent (\$/bbl)



### Gold (\$/ounce)



### MSCI World (\$)



### MSCI Emerging (\$)



SOURCE: LSEG, BLOOMBERG, BNP PARIBAS  
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB



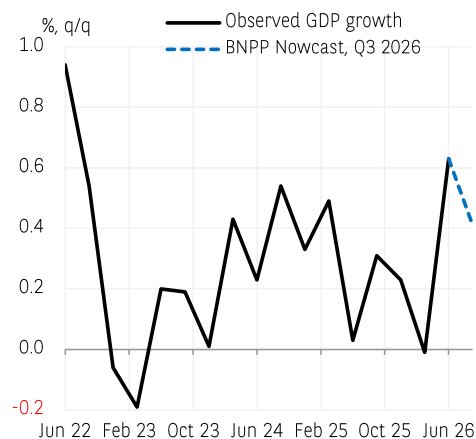
# BNP PARIBAS

The bank  
for a changing  
world

## The scenario, forecasts and nowcasts of the Economic Research – 21 September 2026

### NOWCASTS OF THE ECONOMIC RESEARCH

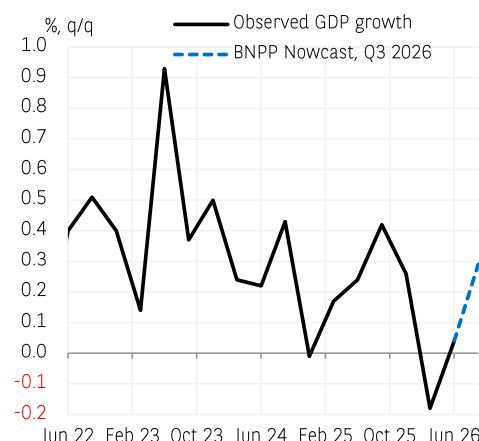
#### Eurozone



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to resilient growth in Q3 (+0.4% q/q) driven by the improvement in the PMI surveys.

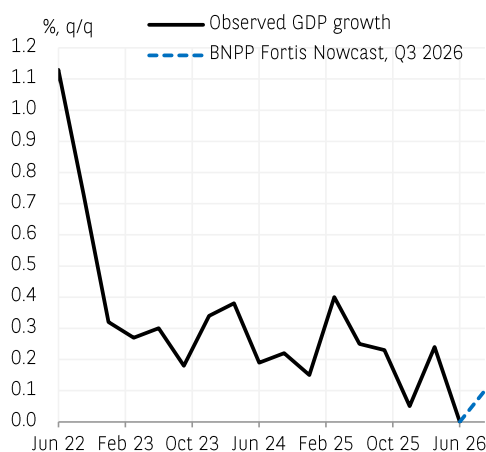
#### France



Source: Refinitiv, BNP Paribas

Our nowcast for French GDP growth suggests a recovery in Q3 2026, at +0.3% q/q, albeit the impact of the heat wave on agricultural production is a downside risk.

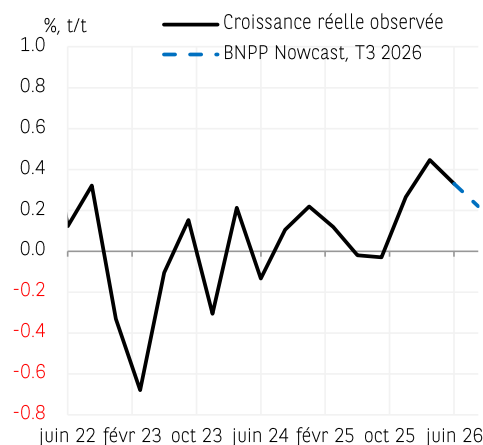
#### Belgium



Source: Refinitiv, BNP Paribas Fortis

Our nowcast for Belgium GDP growth suggests a mere growth performance in Q3 (0.1% q/q, after 0% in Q2). The business climate is low, as inflation pressures bind.

#### Germany



Source: Refinitiv, BNP Paribas

Our Germany nowcast indicates that growth should slow slightly in Q3 to +0.2% (after +0.4% in Q1 and +0.3% in Q2). It is expected to remain supported by exports. Industrial production remains strong at the start of the quarter but could be affected by the weather conditions recorded in August.

Read the Nowcast methodology  
[Tarik.rharrab@bnpparibas.com](mailto:Tarik.rharrab@bnpparibas.com)



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## ECONOMIC SCENARIO AND FORECASTS

### GDP growth and Inflation

| %              | GDP Growth |      |        |        | Inflation |      |        |        |
|----------------|------------|------|--------|--------|-----------|------|--------|--------|
|                | 2024       | 2025 | 2026 e | 2027 e | 2024      | 2025 | 2026 e | 2027 e |
| United States  | 2.8        | 2.1  | 2.2    | 2.3    | 2.9       | 2.7  | 3.4    | 2.3    |
| Japan          | -0.2       | 1.2  | 1.0    | 1.2    | 2.7       | 3.1  | 2.0    | 2.5    |
| United Kingdom | 1.0        | 1.3  | 1.2    | 1.3    | 2.5       | 3.4  | 3.2    | 3.2    |
| Euro Area      | 0.9        | 1.3  | 1.1    | 1.5    | 2.4       | 2.1  | 3.0    | 2.8    |
| Germany        | -0.5       | 0.3  | 1.1    | 1.3    | 2.5       | 2.3  | 2.7    | 2.6    |
| France         | 1.1        | 0.9  | 0.5    | 1.0    | 2.3       | 0.9  | 2.4    | 2.3    |
| Italy          | 0.6        | 0.7  | 0.9    | 0.8    | 1.1       | 1.6  | 2.9    | 2.1    |
| Spain          | 3.5        | 2.8  | 2.6    | 2.2    | 2.8       | 2.7  | 4.0    | 3.9    |
| China          | 5.0        | 5.0  | 4.6    | 4.5    | 0.2       | 0.0  | 1.0    | 1.2    |
| India*         | 7.2        | 7.8  | 6.7    | 6.9    | 4.6       | 2.1  | 5.0    | 4.6    |
| Brazil         | 3.4        | 2.3  | 1.9    | 1.3    | 4.4       | 5.0  | 4.5    | 4.6    |

Source : BNP Paribas (e: Estimates & forecasts)

Last update: 14/09/2026

\* Fiscal year from April 1 of year N to March 31 of year N+1

### Interest and exchange rates

| Interest rates, % |                         | 2026 |      | 2027 |      |      |      |
|-------------------|-------------------------|------|------|------|------|------|------|
|                   |                         | Q3   | Q4   | Q1   | Q2   | Q3   | Q4   |
| US                | Fed Funds (upper limit) | 4.00 | 4.25 | 4.50 | 4.50 | 4.50 | 4.50 |
|                   | T-Note 10y              | -    | 4.95 | 4.95 | 4.90 | 4.85 | 4.80 |
| Eurozone          | deposit rate            | 2.50 | 2.75 | 2.75 | 2.75 | 2.75 | 2.75 |
|                   | Bund 10y                | -    | 3.50 | 3.40 | 3.30 | 3.25 | 3.20 |
|                   | OAT 10y                 | -    | 4.43 | 4.40 | 4.25 | 4.18 | 4.10 |
|                   | BTP 10y                 | -    | 4.38 | 4.33 | 4.18 | 4.08 | 3.98 |
| UK                | BONO 10y                | -    | 3.98 | 3.90 | 3.74 | 3.65 | 3.55 |
|                   | Base rate               | 3.75 | 4.00 | 4.00 | 4.00 | 3.75 | 3.50 |
| Japan             | Gilts 10y               | -    | 4.90 | 4.80 | 4.70 | 4.65 | 4.50 |
|                   | BoJ Rate                | 1.25 | 1.50 | 1.75 | 1.75 | 1.75 | 2.00 |
|                   | JGB 10y                 | -    | 2.90 | 2.95 | 2.95 | 3.15 | 3.25 |

| Exchange Rates |           | 2026 |      | 2027 |      |    |      |
|----------------|-----------|------|------|------|------|----|------|
|                |           | Q3   | Q4   | Q1   | Q2   | Q3 | Q4   |
| USD            | EUR / USD | -    | 1.14 | 1.14 | 1.16 | -  | 1.20 |
|                | USD / JPY | -    | 163  | 163  | 163  | -  | 163  |
|                | GBP / USD | -    | 1.34 | 1.36 | 1.38 | -  | 1.43 |
| EUR            | EUR / GBP | -    | 0.85 | 0.84 | 0.84 | -  | 0.84 |
|                | EUR / JPY | -    | 186  | 186  | 189  | -  | 198  |

| Brent           |         | 2026 |    | 2027 |    |    |    |
|-----------------|---------|------|----|------|----|----|----|
|                 |         | Q3   | Q4 | Q1   | Q2 | Q3 | Q4 |
| Quarter Average |         |      |    |      |    |    |    |
| Brent           | USD/bbl | 87   | 81 | 78   | 79 | 81 | 80 |

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 14/09/2026

### Contacts

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Tarik.rharab@bnpparibas.com

## UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.2%, close to the 2025 rate (2.1%). This apparent resilience to the uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.4% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these latter appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, the FOMC proceeded with a first rate hike at September's meeting and we expect two further 25bp increases in December 2026 and January 2027, bringing the Fed Funds target range at 4,25% - 4,50%.

## CHINA

Economic growth slowed to 4.3% y/y in Q2 2026 vs. 5.0% in Q1. It is projected to reach 4.6% in 2026 as a whole, down from 5% in 2025. Growth remains characterized by a K-shaped trajectory, and the gap between the strong performance of exports and the fragility of sectors that rely on domestic demand has even widened this year. Domestic demand has weakened significantly in recent months. Retail sales have barely increased, the crisis in the property sector has continued and household confidence remains low. Fiscal policy measures aimed at supporting economic growth are expected to increase in the second half of the year. CPI inflation has rebounded slightly since last March, mostly due to the rise in global energy prices, as well as due to the increase in electronic good prices and anti-involution measures implemented by the authorities. Deflationary pressures persist, however, given weakness in domestic demand.

## EUROZONE

Eurozone growth is expected to slow to 1.1% in 2026 (from 1.3% in 2025), before strengthening to 1.5% in 2027, supported by higher defence and infrastructure spending as well as the global AI capex cycle. The economy has proven resilient to the energy shock, notably thanks to the increasingly tangible impact of German defence spending on the real economy. Elevated energy prices in the autumn (especially for natural gas), combined with resilient growth, are set to accelerate inflation to a peak around the turn of the year. Annual average inflation is thus expected to reach 3.0% in 2026 (from 2.1% in 2025), before easing to 2.8% in 2027. Given persistent inflation and resilient growth, we anticipate another 25bp hike from the ECB in December 2026, bringing the deposit rate to 2.75%, followed by an extended pause. That said, stronger than expected second-round effects could lead to more tightening than our current baseline.



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## FRANCE

GDP growth remained low in Q2 (0% after -0.2% in Q1) as a result of deteriorated agricultural and construction output, as well as higher inflation (2.4% in 2026 according to our forecast, after 0.9% in 2025). In 2026, GDP growth should reach 0.5% (after 0.9% in 2025), driven mainly by exports.

## UNITED KINGDOM

UK GDP growth would ease slightly to 1.2% in 2026 (1.3% in 2025), holding at a similar 1.3% in 2027. The economy has weathered both the energy price shock and domestic political volatility so far. That said, growth is expected to decelerate in the second half of the year, while inflation should remain stubbornly above target (annual average of 3.2% both in 2026 and 2027), driven by energy, food and a build-up of second-round effects. We expect the BoE to deliver a single "insurance" hike in November 2026, bringing the Bank Rate to 4.00%, in response to the ongoing energy shock. We expect the BoE to resume easing in H2 2027, with two cuts taking the Bank Rate to 3.50% by end-2027.

## JAPAN

We expect annual GDP growth to stand at 1.0% in 2026, down from 1.2% in 2025. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy's overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshoot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 1.25% so far (previously negative) – the highest since 1995. We expect two more hikes by the end of Q1 2027, followed by a return to a more cautious pace until the terminal rate of +2.5% is reached in H2 2028. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

## EXCHANGE RATES

We expect Fed hikes to temporarily offset structural headwinds and support the dollar. EUR/USD would target 1.14 by end-2026, before the dollar's structural downtrend resumes toward 1.20 by end-2027, although political and fiscal risk may weigh on the euro next year. The USD/JPY appreciation would continue but at a more moderate pace, with the BoJ still behind the curve despite its hikes. By contrast, GBP/USD would see relative support underpinned by a modest fiscal risk premium under the new Labour government, and resilient growth.



## STRATEGIC PRODUCT VULNERABILITY? CHINA LEAST, THEN EUROPE AND THEN THE US

Koen De Leus

“Germany is too dependent on the US for its security, on Russia for its energy and on China for its exports.” That was, in essence, Brookings’ Constanze Stelzenmüller’s diagnosis in June 2022, and it was – and is – valid as well for Europe as a whole.

But does this dependency also apply to technological and industrial products? The European Commission’s EXternal Vulnerability Index (EXVI) answers that very question, mapping out the EU’s exposure to foreign supply chains.

EXVI is built on two pillars, with two simple questions for each product: 1/ How dependent is a region on a handful of foreign suppliers? 2/ How globally competitive is it in that product measured by its imports versus exports? The result is a single score from 0 (low vulnerability) to 1 (high). A region scores high (vulnerable) when there is both a heavy reliance on others and a weak market position.

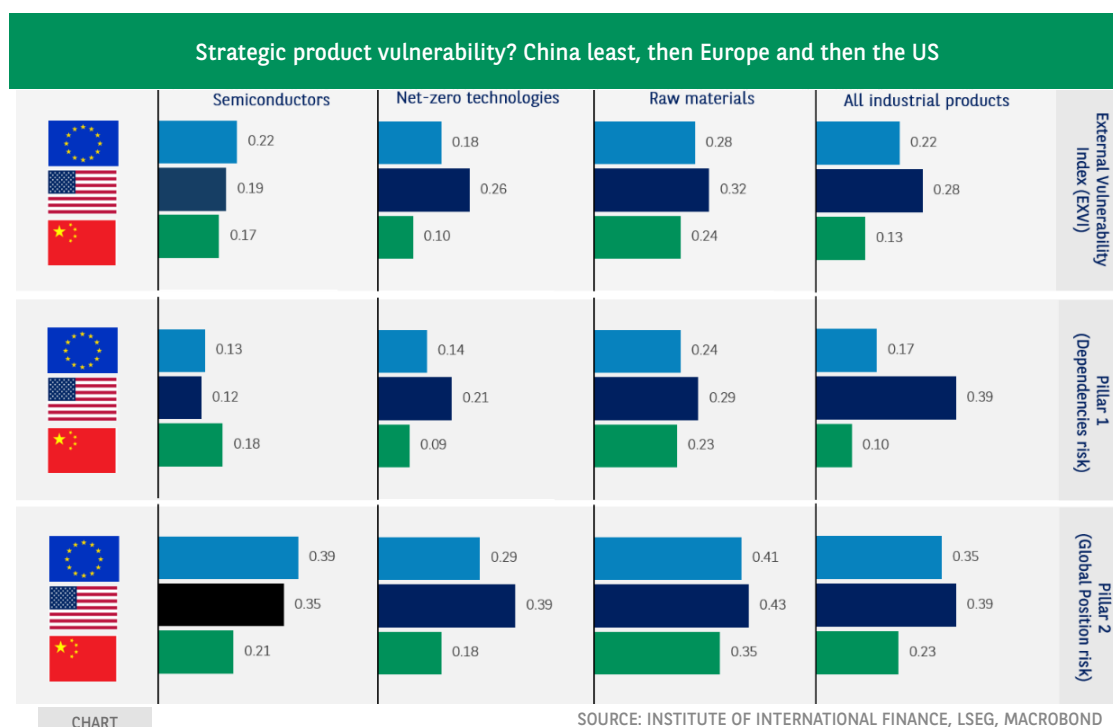
### Relatively good results for the EU

The EU is relatively well positioned, with a score of 0.18 on net-zero technologies and 0.22 on semiconductors. Raw materials appear to be the weakest point (0.28). Interestingly, compared to its peers, the EU is more vulnerable than China across all three chains (0.13), but significantly less vulnerable than the US overall (0.22 vs. 0.28). The only sector where the EU score is weaker than the US one is on semi-conductors, and the difference is not large (0.22 vs 0.19). Like the EU, the US’ vulnerability is biggest in raw material (0.32). This is, among other factors, due to outsourcing polluting mining starting in the 1990s. Looking at the essential components for the green transition, the EU score on raw materials is concerning, but the better one on net-zero technologies is more encouraging.

### The EU challenge is not its dependencies but its relatively weak global position

Taking a closer look at the two pillars across the different products, it becomes clear that Europe’s problem is mainly related to its global position (Pillar 2). Dependency (Pillar 1) itself is not the core issue, with much lower scores than the ones for Pillar 2. The EU dependency risk on raw materials is even comparable to China score (0.24 vs 0.23), and the EU score on semi-conductors (0.13) is the lowest of the other results for the region.

On the other hand, Pillar 2 scores are more negative, illustrating the lack of EU competitiveness in these areas, with scores hovering between 0.29 for net-zero technologies up to a high 0.39 for semiconductors and 0.41 for raw materials. Europe simply does not produce enough of these products at competitive prices, as big European companies in these sectors are limited. Take semiconductors, for example. Imports are not extremely



concentrated, as shown by the relatively low Pillar 1 score of 0.13. However, the high Pillar 2 score of 0.39 shows that the EU is weak at producing semiconductors itself. That is precisely why the European Chips Act is focusing on building domestic production capacity rather than on diversifying imports. The same reasoning applies to raw materials and, to a lesser extent, to net-zero technologies.

One trend is undeniable: China consistently enjoys the lowest vulnerability. Decades of strategic plans, as well as subsidies and other practices to restrict open markets, have enabled it to build up domestic supplies and stocks.

### The EU's multiple responses

Looking ahead, the EU can deploy a number of options in response, from circularity to domestic mining, including international partnerships. Brussels is aiming to mine or recycle 10% of critical materials by 2030, but there is paradox at play here, as circularity only works once sufficient volumes have first been mined and used. Therefore, in the coming years, international partnerships will be a priority and, for that matter, the EU has been very active on that front since the start of the second Trump presidency.

The EU is aware of the challenges that it faces. And the EXVI indices are particularly relevant for assessing supply chains targeted by major policy initiatives, such as the Chips Act (strengthening the EU's semiconductor ecosystem and technological sovereignty), the Net Zero Industry Act (NZIA) (building domestic manufacturing capacity for clean-tech products such as solar, wind and batteries) and the Critical Raw Materials Act (CRMA) (securing and diversifying the EU's supply of critical and strategic raw materials). The challenges have been identified and an action plan has been drawn up. Now it needs to be implemented on the ground.

1 The latest full report is dated January 2025 and can be found here: [EXternal Vulnerability Index \(EXVI\) - Internal Market, Industry, Entrepreneurship and SMEs](#).

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## EDITORIAL

3

## THE EIGHT REASONS WHY THE FED SHOULD RAISE RATES

The FOMC meeting on September 15–16 is expected to mark a turning point with the Fed's first rate hike since May 2023. While there may have been economic reasons to hold off and maintain the *status quo* until now (some negative signals on the employment front and some encouraging ones on the inflation front), the conditions for a necessary recalibration now appear to be in place.

Between the start of the year and September 11, out of a sample of nearly 90 central banks worldwide, 25 lowered their policy rates (an average cumulative decrease of 85 basis points), 25 raised them (an average cumulative increase of 75 basis points), and 36 left them unchanged. The U.S. Federal Reserve is part of this *status quo* group, while the ECB is among the central banks that have raised their rates (twice). Which is the odd one, the Fed or the ECB? At first glance, the Fed's *status quo* seems harder to explain than the ECB's rate hike: U.S. growth and inflation are significantly higher than Eurozone metrics. Why would this situation warrant a rate hike in the latter case but not (yet) in the former? In short, because the Fed has a dual mandate and, until recently, its focus has been more on the maximum employment component than on price stability.

Will the Fed continue to diverge from its peers this week, given that the ECB implemented another rate hike on September 10<sup>th</sup> and that further tightening by the BoJ (September 17<sup>th</sup>–18<sup>th</sup>) is also widely anticipated? And while a *status quo* from the BoE (which will also meet on September 17<sup>th</sup>) is expected, the vote is likely to be close (6-3 according to our forecasts, possibly 6-4) and the tone should be hawkish. In our new base case scenario, we believe the Fed will join the ranks of the hikers this week: it would no longer wait until December 2026 to begin the (short) cycle of (three) rate hikes (25 bp each) that we have been anticipating for several months. However, the outcome of the September 15–16 FOMC meeting remains somewhat uncertain: we believe the conditions are in place for a monetary policy adjustment. But will the Fed share the same view?

### WHAT HAS HELD THE FED BACK FROM RAISING RATES SO FAR? SOME SIGNS OF WEAKNESS IN THE LABOUR MARKET AND THE K-SHAPED NATURE OF GROWTH

This latter is running at a relatively high pace (an average of 2.2% year-over-year since Q1 2025, double the Eurozone growth rate) but rests on narrow foundations that are largely dependent on the AI boom. It is this sector that is driving a large portion of non-residential investment (with, conversely, equally significant imports). And it is the wealth effects stemming from the sharp rise in stock indices—driven by tech stocks—that largely underpin consumption among the wealthiest households, while consumption among lower-income households is struggling, constrained, and affected by the high cost of living.

Strong on the surface but more fragile beneath: this characteristic of U.S. growth has likely contributed, thus far, to tipping the scales in favor of the monetary status quo. The aim was to avoid the risk of stalling the AI engine and exacerbating the financial difficulties of lower-income households. An idea has also circulated: that this strong growth, driven by productivity gains (supposedly resulting from the deployment of AI<sup>1</sup>), might be disinflationary rather than inflationary.

1 U.S. productivity gains are significant but attributing them to the AI boom is premature: see our [Chart of the Week from May 27, 2026, United States: Labour productivity growth set to continue](#).

This theory has not, for the time being, been fully validated by the data: on the contrary, the AI boom appears to be rather inflationary in the short term, which should lead the Fed to reconsider its *status quo*.

The labour market, like economic growth, has both a positive side and a more worrisome one. The first is characterized by a low unemployment rate, downwardly oriented over the past few months, a trend which is expected to continue. The second stems from the volatility and relative weakness of job gains through July, the downward pressures on labour supply, and the uncomfortable balance of a situation combining low firing and low hiring. The Fed has been more sensitive to these vulnerabilities, in line with its dual mandate.

### HIGH INFLATION — THOUGH TRENDING DOWNWARD ACCORDING TO CERTAIN ALTERNATIVE MEASURES — AND ANCHORED INFLATION EXPECTATIONS HAVE ALSO HELPED THE FED ADOPT A WAIT-AND-SEE APPROACH.

U.S. inflation is high and has been well above the 2% target for now six years, according to the most widely used metrics; while alternative measures are closer to the target (see Chart 1). The trend, drivers, and composition of inflation also matter. As for its trend, data from June and July showed a slight downward trend, an encouraging sign further supported by the stability (no increase) seen in August (3.4% year-on-year for the headline CPI, with core inflation even edging down slightly from 2.5% to 2.4% y/y).

#### US inflation metrics: In progress, but still persistently above the 2% target

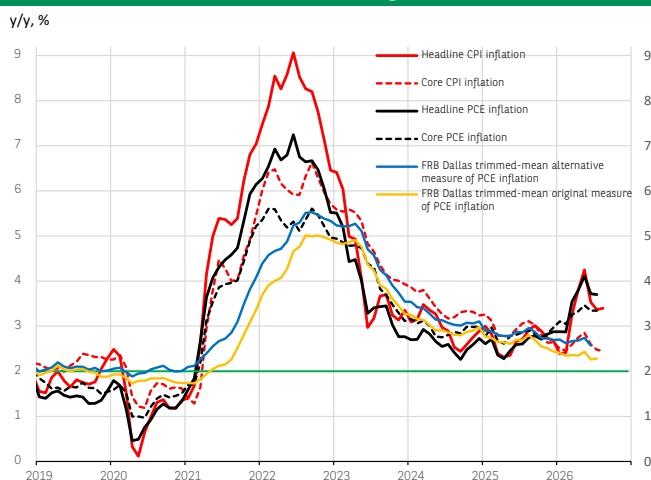


CHART 1

SOURCE: BLS, BEA, FRB DALLAS, MACROBOND, BNP PARIBAS



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## US: Disinflation looks underway according to the trend in unit labour costs

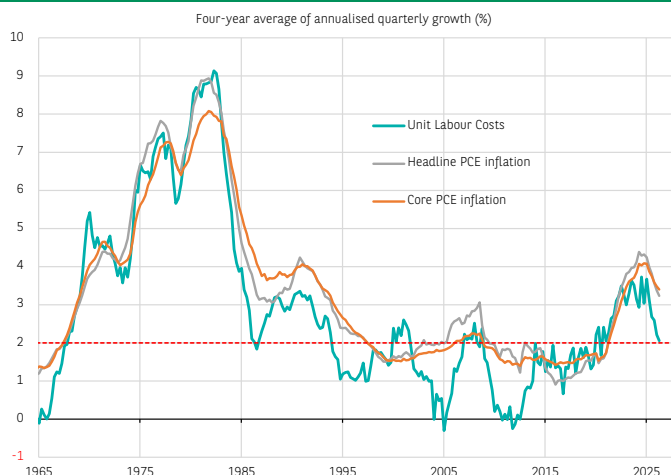


CHART 2

SOURCE: BLS, BEA, MACROBOND, BNP PARIBAS

On the other hand, if we compare inflation with the trend in unit labor costs—a key driver, as Richard Clarida (former Fed vice chair)<sup>2</sup> points out—it clearly appears to be trending downward, with further disinflation on the horizon (see Chart 2).

Finally, in terms of composition, current inflationary pressures stem largely from the energy supply shock caused by the conflict in Iran. Such a development does not require an immediate response from the central bank<sup>3</sup>, as long as inflation expectations remain anchored (which is currently the case) and provided that the inflation spike remains transitory, does not become widespread, and does not trigger second-round effects (which cannot be taken entirely for granted over the next few months, given persistent upward pressure on energy prices combined with resilient U.S. growth).

## WHY IS THE MONETARY STATUS QUO NO LONGER TENABLE? THERE ARE AT LEAST SEVEN REASONS

A combination of factors justifies the Fed raising its policy rates, starting in September. From our perspective, it should have already done so, given the economic and inflation data.

**First**, the current environment is completely different and significantly more favorable than the one that prevailed at the time of the three insurance rate cuts in late 2025. Undoing this easing alone is justified today.

**Second**, the real GDP growth rate is well above its potential pace.

Our 3<sup>rd</sup>, 4<sup>th</sup> and 5<sup>th</sup> points are the following: unemployment is trending downward, inflation is well above target, and there is a risk that inflation expectations could become unanchored.

**Sixth**, the balance of risks between the two components of the Fed's mandate has shifted: the easing of employment concerns brings the upward risks to inflation to the forefront.

**Seventh**, U.S. monetary policy is likely too accommodative — to a degree difficult to assess precisely, given the inability to accurately estimate the neutral rate (which, according to our estimates, falls within a range of 3.25% to 4.25% in nominal terms).

But it is clear that current high productivity gains are pushing it higher. A recalibration of monetary policy therefore appears necessary to bring the Fed Funds target (currently 3.50–3.75%) at least toward the upper end of our estimate of the neutral rate, or even into restrictive territory.

## EIGHTH, THE FED MUST BACK UP ITS WORDS WITH ACTION

Regarding the outcome of the September 15–16 FOMC meeting, Kevin Warsh has not shown willingness to act upon the latest data. He wants a Fed that is less data-dependent and more guided by underlying trends. It is understandable and this shift could happen in the future, following the conclusions of the task forces. However, aside from the fact that Kevin Warsh is not the sole decision-maker, the latest data for August points towards a rate hike. This is clear in light of the strong rebound in nonfarm payroll employment. It is also clear regarding inflation, as the monthly change (seasonally adjusted) in the core CPI (+0.29%) exceeds the trigger threshold we had identified (a “big” 0.2%). In fact, the very persistence of high inflation<sup>4</sup>, combined with an economic environment (both domestic and international) that remains inflationary, argues for a rise in the Fed Funds target.

It would also be a matter of Kevin Warsh walking the talk to reinforce the credibility of his remarks at Jackson Hole regarding the renewed firmness of his commitment to ensure price stability. And it would also be a matter of not adding to the tension and nervousness already present in the bond markets, regardless of their origin. If the Fed takes the markets' signal into account — as Kevin Warsh seems inclined to do when he considers that the rise in long-term rates is doing part of the central bank's job and when he highlights the reassuring anchoring of their inflation expectations — then it must raise its policy rates without further delay. Not only do economic conditions require it, but it is also a matter of risk management.

Hélène Baudchon

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<sup>2</sup> See this Financial Times article: [The Key Inflation Signal for Investors \(August 19, 2026\)](#).

<sup>3</sup> See this BIS paper for a recent overview of the debate: [Energy Shocks and Inflation: Challenges for Monetary Policy, August 5, 2026](#).

<sup>4</sup> 65 months of core PCE inflation overshooting the 2% target.



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## ADVANCED ECONOMIES

The past week saw unusually large increases in sovereign bond yields across developed markets (see our [Markets Overview of 14 September 2026](#)).

### EUROZONE

**A “no-brainer” ECB hike.** As expected, the ECB increased its main policy rate by 25 bps to 2.5%. It revised up both its [growth and inflation forecasts](#), with the latter expected to be more protracted than previously thought. GDP excluding Ireland is expected to grow by 1.2% in 2026 and 2027, and by 1.4% in 2028. Inflation would peak at 3.6% in Q4 2026, then fall to 2.5% in Q2 2027 and would hover close to 2.0% thereafter. Although no forward guidance was provided, the market took a hawkish read, pricing  $\frac{1}{2}$  a rate hike in October and more than 3 additional hikes in total by mid-2027. This seems overdone to us. We expect one more hike in December, but it depends largely on the evolution of energy prices. Meanwhile, Q2 GDP growth was revised up to 0.6% q/q (+0.2pp) due to a sharp revision in Ireland data. That said, growth was broad-based with GDP growth excluding Ireland up 0.4% q/q, overwhelmingly driven by net exports. Employment climbed again (0.1% m/m) as solid gains in Spain and Portugal offset another (moderate) decline in Germany.

#### - European Union

**Procurement simplification & innovation boost:** The European Commission unveiled its proposals for a new Procurement Regulation focused on simplification and the European Innovation Act. Both initiatives are designed to strengthen the single market and Europe’s competitiveness.

#### - France

**Falling behind.** INSEE revised its 2026 growth outlook down to 0.4% even as the other large Eurozone economies are picking up steam. The government also downgraded its forecast, to 0.5% (same as ours). These include a 0.1% downgrade on account of summer’s heatwaves. For Q3, INSEE forecasts 0.1% q/q GDP growth, 0.1 pp lower than our forecast and the Banque de France’s nowcast. Manufacturing output declined in July for the third consecutive month, by 0.8% m/m and 1.2% 3m/3m. This appears driven primarily by supply constraints in sectors experiencing strong demand (capital goods, including aeronautics and electronics). More positively, solid momentum in goods exports continues (+4% y/y in July, +5.2% YtD), mostly to Europe. Loan demand is falling as interest rates rise: new housing loans plunged 17% m/m in July, as interest rates reached their highest since January 2025 (3.30% on average, +3 bp m/m). Yearly growth for bank and market financing to non-financial corporates (NFCs) fell in July to 3.5% (-4 bp m/m) and 4.4% (-4 bp m/m) respectively. On the budget front, the government is considering reducing the exceptional surtax on large corporates and generating EUR 6bn of savings from pensions.

#### - Germany

**Solid intra-EU export growth.** German exports grew by 4.0% over Jan-July compared to the same period in 2025 (despite a -0.8% m/m wobble in July, missing expectations of a 0.1% rise). Gains are particularly robust to the EU and euro area (+6.5%). This offsets persistent losses to the US (-1.5%) and China (-12.7%).

## UNITED KINGDOM

**Strengthening growth backdrop as Chancellor unveils strategy.** Real gross value-added rose 0.4% in the three months to July, led by a rise in professional, scientific and technical activities (+2.1%, with scientific R&D up 7.0%) and information and communication (+2.5%). The AI cycle is gaining traction, with positive spillover effects on the manufacturing sector. The latter rebounded 0.5% in the three months to July, with output for computer, electronic and optical products sector being the biggest contributor (+3.9%). The RICS housing survey was positive too, with the sales expectations index improving for the fifth month running in August and to its highest since January. The jobs market is showing tentative signs of improvement. Staff placements increased for the first time since September 2022, although vacancies declined again, pointing to continued weakness in labour demand, according to the S&P and KPMG UK Jobs Report.

John Healey, the UK’s new Chancellor of the Exchequer, stressed fiscal discipline as his “first priority” in his first major speech. While declining to rule out tax rises, he pledged to tackle rising costs for businesses and double the number of UK unicorn firms.

## UNITED STATES

**Inflation heats up, housing cools further.** August Core CPI came in at 0.29% m/m (stable), a pace inconsistent with the Fed’s 2% objective and above consensus expectations (0.2% m/m). Housing and non-housing core services both posted their largest monthly gains since April. Energy compounded price pressures, with headline CPI up 0.4% m/m and stable at 3.4% y/y. Producer price inflation jumped to 5.4% y/y (up 0.5pp), while core PPI edged up to 4.7% (up 0.3pp), both above expectations. Diesel passed the \$6/gallon (national average), for the first time ever. These price developments raised the market-implied probability of a rate hike next week to 90% vs. 60% at the start of the week. Meanwhile, existing home sales contracted for a third month in a row in August (-2.0% m/m), pushing the annual growth rate into negative territory (-1.7% y/y). 30-year mortgage rate hit 6.85% last week, the highest since June 2025.

## JAPAN

**Bullish data and Yen resurgence.** Wage growth hit a three-decade high in July. Nominal earnings climbed to 4.7% y/y in July (up 0.7pp), the fastest pace since 1994. Real wages improved for a third straight month to 2.4% y/y (up 0.2pp). Q2 GDP growth was revised upward to 0.4% q/q advance (up 0.1 pp from initial est.). Machine tool orders jumped to 64.7% y/y in August (up 14.3pp) – a pick-up most pronounced in foreign orders. With the BOJ multiplying hawkish signals, the USD/JPY exchange rate is down to 154, its strongest since February, up almost 4% on the week and over 6% since the joint US/Japan intervention in August.



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## EMERGING ECONOMIES

### EUROPE, AFRICA & MIDDLE EAST

#### - Central Europe

**Inflation contained so far.** August inflation data pointed to a marginal uptick (Hungary: 1.3% y/y from 1.2% in July; Czech Republic: 1.9% y/y from 1.7% in July). Poland's inflation, at 3.4% y/y, was near the upper end of the central bank's target range. Meanwhile, Romania's inflation fell markedly (6.2% y/y from 8.2% y/y), as expected, from base effects. Going forward, inflationary pressures are tilted to the upside due to the recent rise in fuel prices at the pump. Meanwhile, the recent decline in food prices should reverse in the coming months. As a consequence, most Central banks will likely remain on hold though Hungary still has a wider window to continue easing.

#### - Qatar

**Mounting fiscal pressure.** The budget deficit more than doubled to USD 5.8 bn in Q2 (26 times the deficit in Q2 2025). Total revenues dropped 57% y/y. Expenditures also fell sharply (-22% y/y).

#### - Saudi Arabia

**A sharp economic contraction.** Real GDP contracted by 4.7% in Q2, the steepest decline since the pandemic, driven by the sharp fall in hydrocarbon GDP (-24.4% y/y). Non-oil activity growth slowed to 0.9% y/y from 2.5% y/y in Q1; it remained resilient thanks to robust domestic demand, notably public investment.

#### - South Africa

**Poor growth performance in Q2.** The economy contracted by 0.2% q/q, ending six consecutive quarters of expansion. Year on year real growth slowed to 0.9% from 1.9% in Q1, reflecting difficulties in the manufacturing and mining sectors, and weak investment.

#### - Türkiye

**Near term set back to growth and inflation progress but rosier medium-term outlook.** The central bank held its one-week repo rate at 37% on September 10, citing upside risks to inflation. Annual headline CPI was 31.5% in August. The ministry of Finance strongly revised up its inflation forecast for this year (28.4% at year-end) and next. It also downgraded its growth forecast to 3.3%, from 3.8% earlier. However, it presented a relatively optimistic medium term soft-landing scenario: inflation falls to single digits, growth accelerates towards 5%, unemployment declines, and the current account deficit narrows simultaneously. This will require a significant improvement in productivity and potential growth to avoid renewed demand-side inflationary pressures.

### ASIA

#### China

**Low inflation, strong exports, and structural patches.** In August, CPI inflation rose to +0.8% y/y from +0.5% in July, due to higher energy prices, but it remained below its Q2 average (+1.1% y/y). Food prices continued to fall (-1.4% y/y) and core inflation remained low (+1% y/y vs. +0.9% in July and +1.1% in Q2) given the absence of demand-side inflationary pressure. Foreign trade continued to grow strongly in August, driven by both volume and prices; export value was up 25% y/y vs. 23.9% in July and import value was up 28.2% y/y vs. 27.6% in July. The trade surplus reached a gigantic USD 806 bn in the first eight months

of 2026, up from USD 782 bn in the same period in 2025. The authorities adopted a new set of measures to address industrial over-capacity, notably in the batteries sector. The government also announced a large recapitalisation plan for 8 major financial institutions (RMB 360 bn): 3 state-owned banks (Agricultural Bank of China, ICBC and Export-Import Bank of China) as well as insurance companies will benefit from the scheme, which aims to stimulate credit supply and support the financial soundness of these institutions

### LATIN AMERICA

#### - Latam

**Inflation accelerated in August except in Argentina,** notably in **Chile** (4.1% y/y from 3.5% in July), driven mainly by food and transportation costs. In **Colombia**, the acceleration (6.2% y/y from 6.0% in July), was particularly due to rising food prices. In **Mexico**, headline inflation picked up to 3.3% (from 3.1% y/y in July), though core disinflation continued (3.9% y/y, slowing steadily since January 2026). In **Argentina**, monthly inflation slowed to 1.7% in August, its lowest monthly level in 14 months. But core inflation was stable at 1.8% m/m. Year on year inflation rates slowed down marginally to 33.5% and 31.9% for headline and core CPI respectively. Despite sluggish growth, inflation is likely to remain above target across Latin America for some time. This could prompt Mexico's central bank to raise interest rates, while in Colombia and Brazil, monetary easing remains possible, contingent on the degree of fiscal tightening. Meanwhile, the Chilean central bank held its policy rate at 4.5%, reflecting a cautious stance amid sticky core inflation and external risks.

#### - Mexico

**Revenue-based fiscal consolidation in 2027.** Growth forecasts in the Budget proposal are more conservative than in previous years (1.5%–2.5% for 2027), while the deficit is set to narrow slightly to -3.9% of GDP (from -4.1% in 2026), but debt will rise to 55% of GDP. Consolidation relies on ambitious revenue growth, driven by an expanded corporate tax base, stricter fiscal controls, and measures to combat evasion, offsetting a 15% drop in oil revenues. Spending is nearly flat in real terms.

## COMMODITIES

**Energy prices continue to rise on the back of renewed tensions in both straits of Hormuz and Bab el Mandeb.** Saudi oil exports through the E-W pipeline have stopped, at least temporarily. They are equivalent to roughly 4% of global oil supply. Crude oil prices breached 100 \$/b (above 107\$/b on Monday morning) and Brent Dec 2026 futures reached 100 \$/b for the first time this year. Two new sources of pressure: weekly US SPR stock release has been the lowest since end-March (1.2mb for the week ending 4 September) and Chinese crude oil imports expected to increase in September for the third consecutive month after the decade-low level recorded in June. **Unsurprisingly, refined product prices reached new highs.** Diesel cracks gained around 10% in Europe (92\$/b) and 6% in the US (110\$/b) over the week. The US diesel fuel price reached 6\$/gallon for the first time ever. **The IEA has sharply lowered its oil demand forecast for 2026.** Demand is expected to decline by 2.5 mb/d (compared to the previous estimate of 1.6 mb/d), before growing by 2.6 mb/d in 2027.

**TTF gas prices rose above 83€/MWh on Monday morning, the highest since end-2022.** EU gas pre-winter inventories reached 67.6% of full capacity this week (official target is 80% at end-October).



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## EMERGING ECONOMIES: WHY ARE FINANCING CONDITIONS HOLDING UP WELL AGAINST THE ENERGY SHOCK?

François Faure

Six months have passed since the start of America's and Israel's military intervention in Iran and Lebanon. What picture is emerging around the impact of this external shock on the financing conditions of the major emerging economies and on exchange rate movements? And what parallels can be drawn with the 2022 energy shock?

### Emerging economies: greater financial resilience to the shock from the Middle East

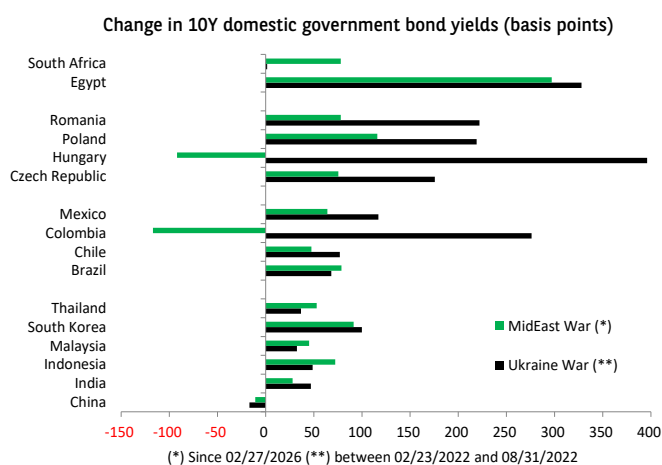


CHART 1

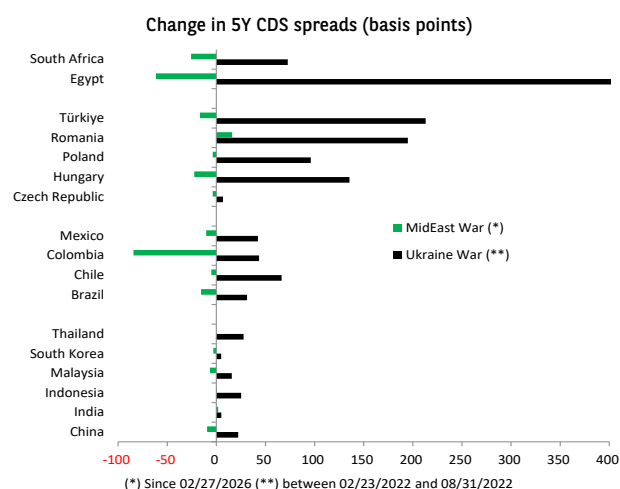


CHART 2

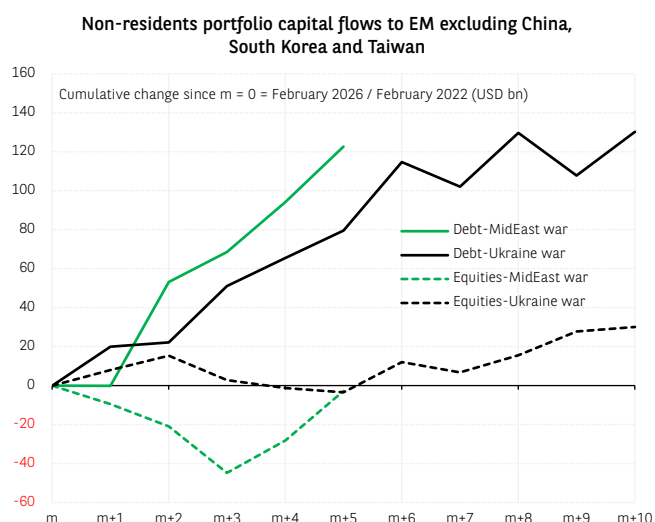


CHART 3

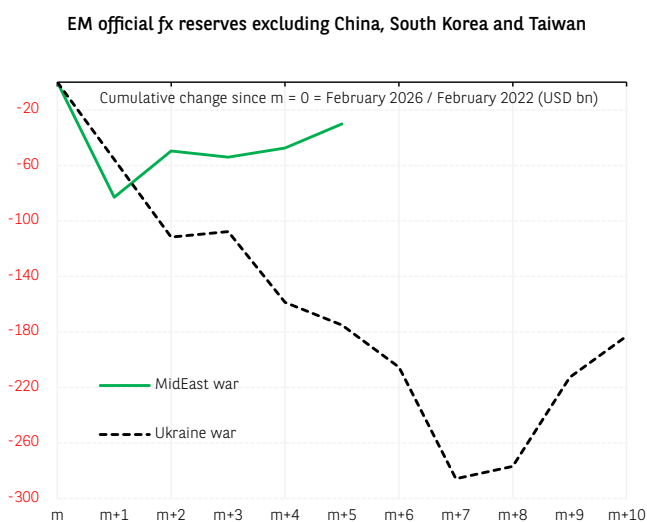


CHART 4

SOURCE: INSTITUTE OF INTERNATIONAL FINANCE, LSEG, MACROBOND

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**Financing conditions and exchange rates are holding up better in 2026 than in 2022...**

As far as the cost of domestic financing in local currency (by far the main source of government funding) goes, bond yields rose less sharply, particularly for Asian countries, with Türkiye standing as the sole exception (Chart 1)<sup>1</sup>. The main explanation for this is that in 2022, faced with rapidly surging inflation, almost all central banks had raised their key interest rates. Conversely, since February, few have done so, and some have even continued their easing cycles. However, spreads relative to benchmark yields (US or German) have narrowed for virtually all countries (apart from Türkiye), whereas in 2022, by contrast, these spreads had widened for Central European countries.

This reflects the reaction of the markets, which are just as concerned, if not more so, about the deteriorating public finances in advanced economies as they are about those in emerging economies. In fact, real bond yields<sup>2</sup> in the Asian countries in the sample are currently approximately the same value as at the end of 2019 (before the succession of external shocks that have occurred since the COVID pandemic and the almost universal rise in public debt ratios). By contrast, real bond yields in advanced economies have gone from negative to positive territory.

In terms of the cost of external foreign-currency financing, measured by benchmark bond yields (the basis) plus risk premiums (measured by CDS spreads), the basis has clearly risen as bond yields in advanced economies have normalised since 2022. However, risk premiums have not widened since the end of February, whereas they had tightened for the vast majority of countries in 2022 (Chart 2). Finally, currencies have depreciated less than in 2022, and most have even appreciated since late spring or early summer last year. Overall, financing conditions have deteriorated less than in 2022.

**...thanks, in particular, to support from non-resident investment in local bond markets**

According to the Institute of International Finance (IIF) estimates, non-resident portfolio investment in debt securities and equities in emerging markets has held up better this year than in 2022 (Chart 3), if we exclude China from the sample (due to its dominant weight), as well as South Korea and Taiwan, which are by far the most advanced countries in the IIF sample<sup>3</sup> and have seen massive outflows of investment from equity markets since March<sup>4</sup>. In this adjusted sample, the increased investment in debt securities was significantly greater than in 2022, while trends in equity investment were broadly similar, in line with the smaller widening of bond yields in local currency and the smaller depreciation of currencies.

**For the most advanced Asian countries, trade surpluses have offset outflows of non-resident portfolio investment in equities**

A comparison of trends in foreign exchange reserves and trade balances – the only data available on balance of payments items other than non-resident portfolio investment for all countries in the sample over the past 5–6 months – provides further insight. Trends in foreign exchange reserves (Chart 4) appear to confirm the view that exchange rates are holding up better<sup>5</sup>. However, trends in trade balances are the same. Nevertheless, for South Korea and, to a lesser extent, Taiwan, the surging trade surpluses (driven by the AI boom in particular) are behind the appreciation of exchange rates over the summer, despite outflows of portfolio investment up until July<sup>6</sup>.

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<sup>1</sup> Türkiye is a very special case, as developments are shaped not only by external shocks but also by domestic political risk.

<sup>2</sup> *i.e.* adjusted for core inflation.

<sup>3</sup> The IIF sample does not include Hong Kong or Singapore.

<sup>4</sup> USD 88bn for South Korea and USD53 bn for Taiwan.

<sup>5</sup> The link between falling foreign exchange reserves and exchange rate depreciation only holds true under a pure or managed floating exchange rate regime (*i.e.* with occasional interventions by the central bank); under a fixed exchange rate regime, defending the exchange rate goes hand in hand with a fall in the central bank's foreign exchange reserves. The emerging economies in the sample all operate under pure or managed floating exchange rate regimes.

<sup>6</sup> Thus, from January to August, South Korea's trade balance showed a cumulative surplus of just over USD 200 bn, compared with a deficit of 25 bn in 2022.



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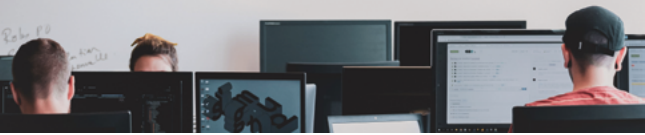
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# Energy shock: Dashboard 2026 vs. 2022

Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those of the war in Ukraine and the subsequent energy shock?

We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

This dashboard features charts and comments that will be updated on a monthly basis for as long as necessary.

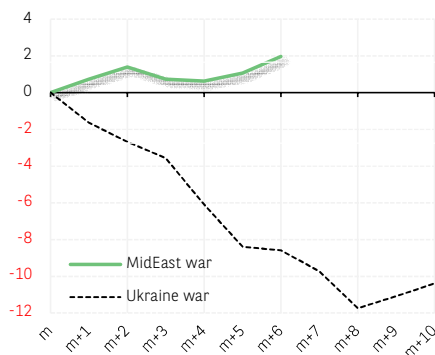
Overall, based on data available through August 2026, the inflationary impact and the negative effect on activity of the current energy shock remain significantly lower than the 2022 shock. Due to renewed tensions in the conflict in Iran and, consequently, on hydrocarbon prices, inflation is moving up again, but still in a limited way for now and driven solely by energy prices. Overall, confidence surveys do not show any signs of these negative trends.

In the euro area, the continued improvement in the business climate in the manufacturing sector and in consumer confidence is noteworthy. In the United States, economic activity continues to shrug off the energy shock. Emerging economies also continue to show resilience, particularly in terms of financing conditions. In the gas and oil markets, the balance is precarious and is keeping prices at a high level.

## The positive signs in the Eurozone

August 2026: Business confidence in the manufacturing sector remains well-oriented

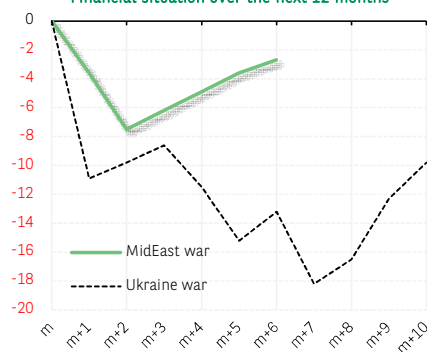
Eurozone: Manufacturing PMI



Change since m = 0 = February 2026 / February 2022.  
Unit: inflation change in percentage point, point for confidence surveys.

August 2026: Consumer confidence continues to improve

Eurozone: Consumer confidence  
Financial situation over the next 12 months



Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

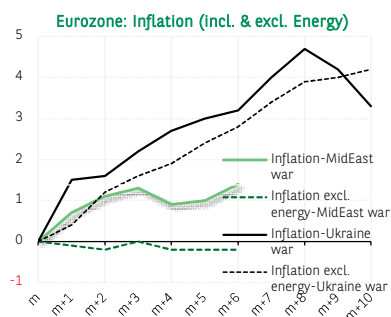


# Eurozone: Inflation rises further, driven by energy prices but inflationary pressures are easing further; and confidence surveys continue to improve

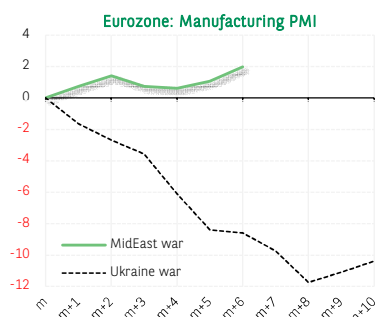
We have selected two inflation measures (with and without energy) and six survey indicators: 1/ business confidence, as measured by the PMIs in the manufacturing and 2/ services sectors; 3/ the "input prices" and 4/ "output prices" components of the composite PMI (in order to identify direct inflationary pressures); 5/ the "suppliers' delivery times" component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); 6/ household confidence, as reflected in its "assessment of financial situation in the next 12 months" component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month  $m=0$ , corresponding to the start of the conflict. Each line does not represent the level of the indicator, but its cumulative variation compared to month  $m=0$ .

The overall picture from the data available for August is positive in terms of confidence surveys and reinforces the encouraging signs seen in previous months. According to PMI surveys, inflationary pressures continue to ease, while supply-side tensions have stabilised. Business sentiment in the services sector remains stable, anchoring its previous gains, while confidence in the manufacturing sector shows a further—and marked—improvement. Another notable and encouraging development is the recovery in consumer confidence for the fourth consecutive month. The feared relapse in these various indicators, due to renewed tensions in the Middle East, did not materialize—at least not in August. As for inflation, it continues to rise (+0.4 percentage points, to 3.3% year-over-year), as expected, driven by energy prices, but the increase remains limited in that it has not spread to non-energy inflation, which remains stable at 2.2%.

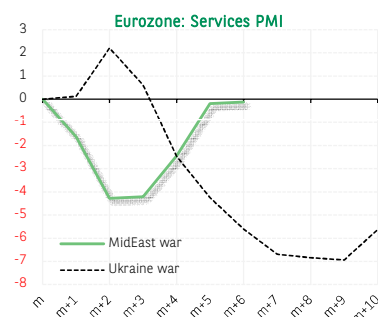
August 2026: Limited rise in inflation, driven by energy prices (bis)



August 2026: Business confidence in the manufacturing sector remains well-oriented

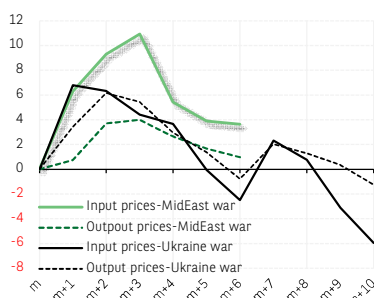


August 2026: Business confidence in the services sector anchors its improvement



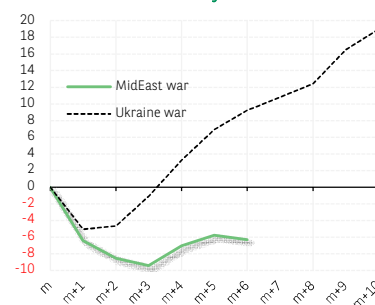
August 2026: Price pressures continue to abate

**Eurozone: Composite PMI — Input and output prices**



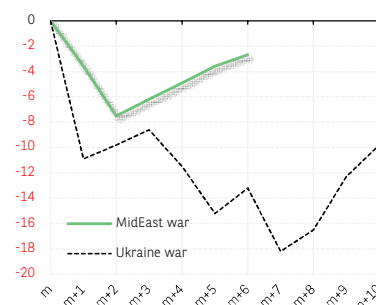
August 2026: Supply-side tensions are stabilising

**Eurozone: Manufacturing PMI — Suppliers' delivery times**



August 2026: Consumer confidence continues to improve

**Eurozone: Consumer confidence Financial situation over the next 12 months**



Change since  $m=0$  = February 2026 / February 2022.

Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas



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# United States: Activity shrugs off the energy shock

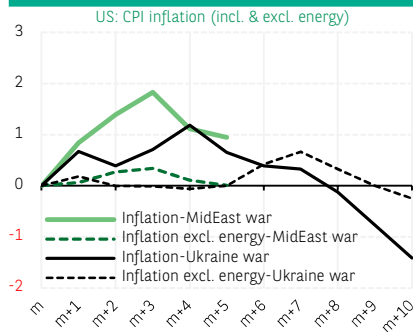
The US economy has held up well since the shock began. Consumption and business investment grew at a 4.1% annualized pace in Q2. At the same time, the scope for energy-driven disinflation has narrowed: WTI (the US reference) has averaged USD 82/bbl since 8 July, ranging between USD 72-92.

CPI rose 0.1% m/m in July, reversing June's -0.4% drop. The year-on-year rate eased to 3.4% (down 0.1pp) but remained 1.0pp higher than in February – the last pre-war reading. Energy accounts for the entire gap: its contribution to the annual rate was negligible in February and stood at 1.0pp in July. Inflation excluding energy reached 2.55% y/y in July (down 0.1pp), unchanged from February. Macroeconomic conditions remain far less inflationary than in 2022, although small businesses have raised their pricing intentions.

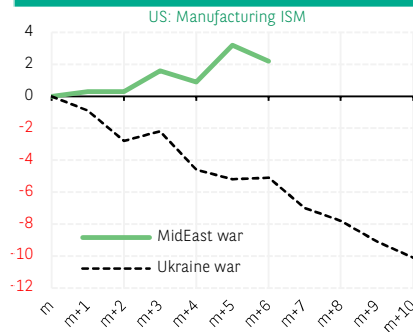
Business sentiment strengthened despite the shock. The ISM manufacturing index has remained in growth territory without interruption since January 2026, following 36 months of contraction out of 38. Input prices – a leading indicator of inflation – and delivery times have tightened further, as the Middle East situation compounds existing pressures from steel and aluminum prices, tariffs, and input availability.

Household confidence remains deeply depressed – a long-standing trend – and sensitivity to gasoline prices rules out any improvement in the near-term. Real consumer spending, however, has never contracted monthly since the onset of the conflict.

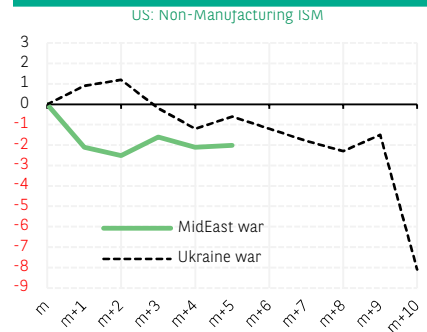
## July 2026: Inflation excluding energy back at its pre-war level



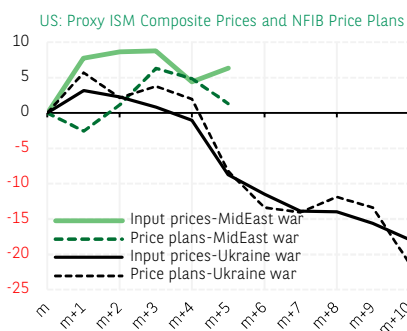
## August 2026: Manufacturing activity firmly anchored in expansion territory



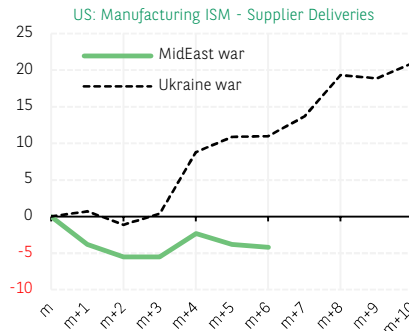
## July 2026: Business sentiment holds up in services



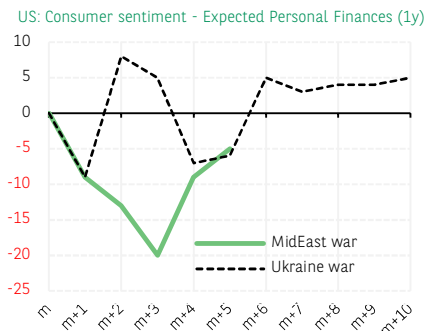
## July 2026: Persistent pressure on input prices



## August 2026: Supplier delivery times lengthen again



## July 2026: Concerns over household finances ease again



Change since m = 0 = February 2026 / February 2022.  
Unit: Inflation change in percentage point, point for confidence surveys.

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas



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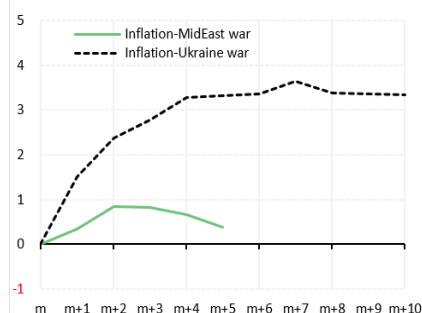
# Emerging economies: Good resilience, especially regarding financing conditions

Inflation eased in June and July. The average CPI inflation rate across the fifteen leading emerging economies fell to 4.3% year-on-year in July, down from 4.8% in April. The inflationary impact remains weaker than in 2022, due in particular to reduced spillover effects on agricultural and food prices. Manufacturers' views on the trend in input and finished product prices have returned to their pre-conflict levels. However, against a backdrop of increasingly frequent and destructive extreme weather events, pressure on agricultural and food prices is likely to continue.

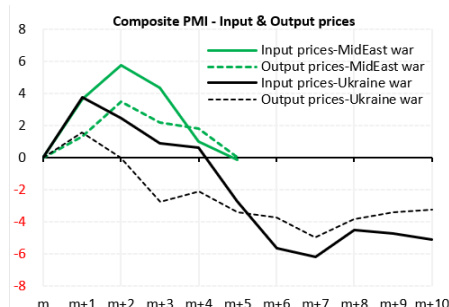
Furthermore, the manufacturing PMI index deteriorated slightly in July and remains below its February 2026 level. The decline in activity was less severe than in 2022, but the recovery is sluggish.

According to estimates by the Institute for International Finance (IIF), non-resident portfolio investment flows into emerging markets have been particularly volatile since the start of the armed conflict, reflecting investor nervousness. Looking at cumulative figures since February provides a clearer picture of the trends. In the equity markets, outflows persisted until July. By contrast, investors have returned to the local bond markets (an average of USD 30 billion per month since April). Domestic interest rates and risk premiums have performed very well.

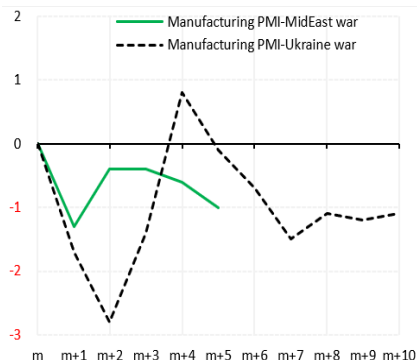
July 2026: A slowdown for consumer price inflation ...



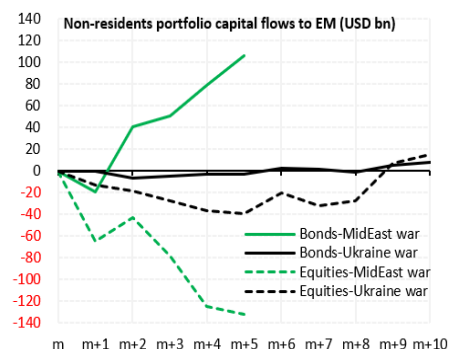
July 2026: ..... and upstream prices



July 2026: A painful recovery in economic activity



July 2026: A rapid and massive return of foreign investors to the bond markets



Change since m = 0 = February 2026 / February 2022.

Unit: inflation change in percentage point, point for confidence surveys.

Cumulative change since m = 0 = February 2026 / February 2022

Source: National Statistical Offices, IIF, S&P Global, BNP Paribas



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5

# Oil & gas: A fragile market equilibrium maintains elevated price levels

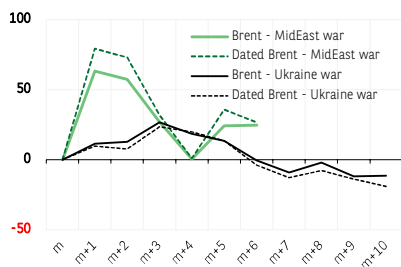
Oil and gas markets remain volatile and followed different trajectories during August. The gas market does not benefit from the buffers in place in the crude oil market. Oil prices have stabilised at a high level, widening the gap compared to the 2022 crisis. While the increase in gas prices remains lower than that seen following Russia's invasion of Ukraine, the pace of the price increase is high.

**Oil:** Brent oil prices stabilised at a high level during August, in the absence of further military escalation and supported by increased flows passing through the Strait (bypass pipelines and trade shuttle (tanker convoy escorted by US navy)). The spread between the Brent futures price and the physical price (Dated Brent) has remained narrow since early June, driven by the use of bypass, the accelerated drawdown on OECD inventories (notably US SPRs), and declining Chinese oil imports.

**Gas:** European spot gas prices (TTF) have risen significantly over the past month for two main reasons: 1/ the lack of recovery in LNG flows exiting the Gulf (unlike crude oil), and 2/ increased competition in the LNG market between Europe, which is replenishing its pre-winter stocks, and Asia, where demand remains high during the summer months.

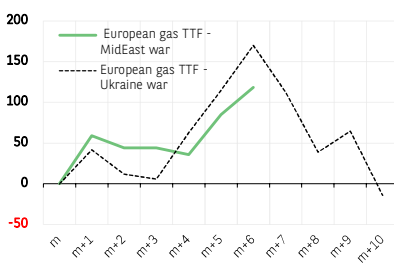
**Electricity:** The rise in European wholesale electricity prices accelerated during the summer due to successive heatwaves. These heatwaves increased electricity demand and, furthermore, nuclear power production was constrained by heatwaves and drought conditions in certain Central European countries and in France to a lesser extent. In this context, the reliance on more expensive resources (gas) is driving electricity prices upward.

August 2026: Crude oil prices stabilize at a high level



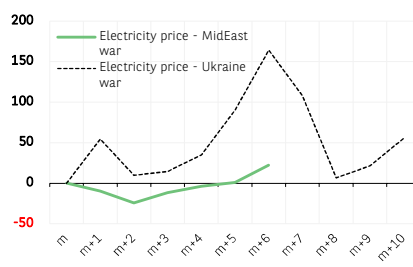
Note: change % since 02/27/2026 - 02/23/2022; last price 08/31/2026

August 2026: Persisting tensions on the European gas market



Note: change % since 02/27/2026 - 02/23/2022; last price 08/31/2026

August 2026: Heatwaves fuel wholesale electricity prices inflation in Europe



Note: change % since 02/2026 - 02/2022; last price 08/31/2026

Source: Bloomberg, Ember, BNP Paribas



## GDP growth is stronger than thought

Stéphane Colliac

Statistical agencies often revise growth figures a posteriori, and generally upwards. But this takes time, as their data often become more comprehensive and accurate after two years. France is seeing the largest upward revisions over this timeframe, and, generally, these revisions are more pronounced in Europe than in the United States.

*Our study focuses on 2023 and 2024, two years for which statistical agencies have more information (growth figures have already, in most cases, been revised), and the figures are compared to pre-COVID levels (an average of 2017–2019). The COVID-19 period, which was inherently disruptive, is excluded from the study.*

### Repeated shocks delay the positive diagnosis

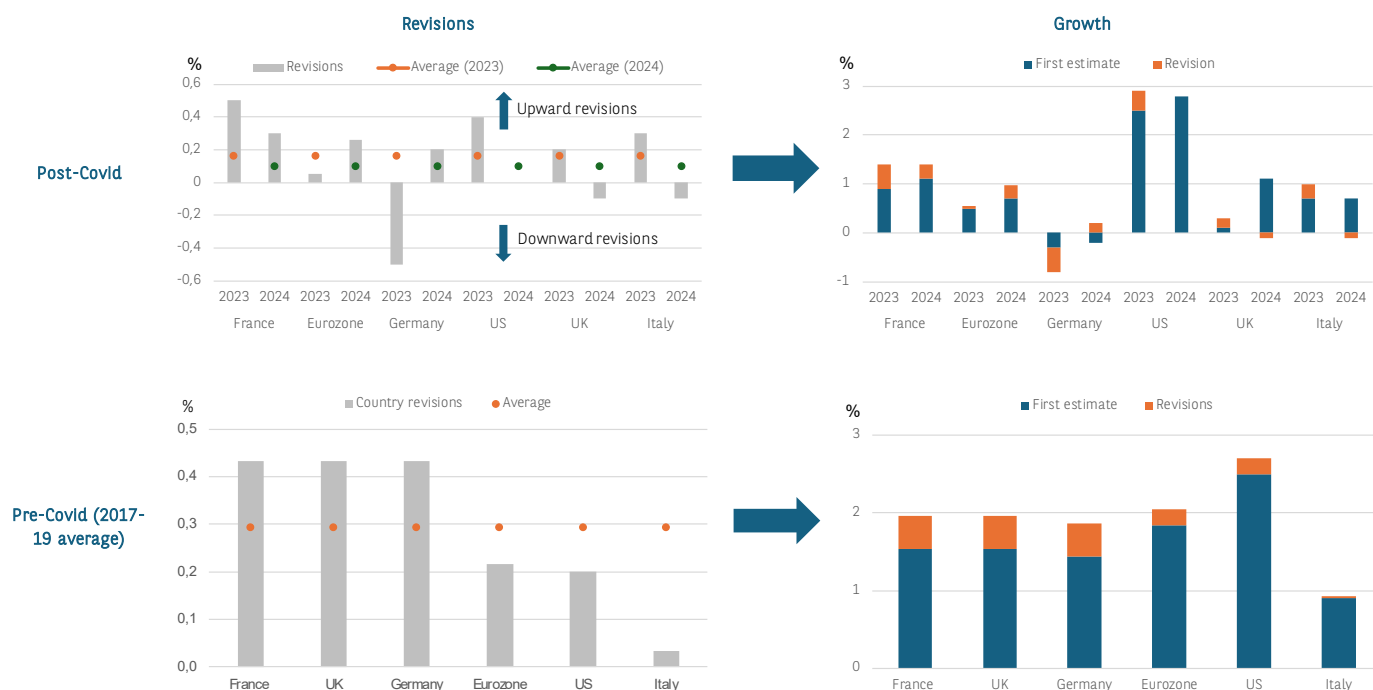
There have been many shocks in recent years — some of them significant — which have made estimating national accounts a complicated task for statistical agencies. The downward revision of French growth figures for the first and second quarters of 2026 (from -0.1% to -0.2% QoQ and from 0.2% to 0% QoQ, respectively) is a recent example. Why? Primarily because one of the most severe droughts in history had a greater impact on agricultural production than initially estimated. This impact was hard to gauge when the first estimate was released.

### The most significant revisions occur much later and are often upward revisions

Growth figures can be revised several years later. By then, the data are more comprehensive. Also, it is easier to distinguish long-term trends from cyclical shocks. Therefore, growth can finally surprise on the upside, particularly due to the role played by innovation, which improves the quality of goods and services and/or lowers their prices.

However, the distinction between volume and price is central to GDP statistics. Most of the data which provide the basis for these statistics come from value-based series, such as turnover figures. In order to publish volume-growth figures, statistical agencies must choose a base year — *i.e.* the estimated price level during that year — and then calculate the change between that base year and subsequent years. This chained-index methodology is used to calculate volume series at constant prices.

### Growth figures are usually revised upward: more in Europe than in the US, particularly in France



SOURCE: NATIONAL STATISTICAL INSTITUTES, BNP PARIBAS

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But innovation, which improves the quality of goods and services, means that the price for a given quality decreases. By how much, exactly? Statistical agencies face difficulties when trying to take it into account, until they have more information. This is why their estimates become more accurate over time — often two years later — when the available data are more comprehensive. This usually leads them to revise GDP growth upwards, as shown in our chart, though the size of these revisions varies by country and period.

#### France enjoys the strongest upward revisions

The size of the revisions is, on average, more moderate for the years 2023–24 than it was before the COVID-19 pandemic. However, it is still significant for some countries. This is the case for France, which ranks first irrespective of the period. We see this result as another positive sign of the ongoing transformation of the French economy, which is also reflected in the increase in business creations ([see our analysis](#)). For example, in 2023, growth reached 1.4% after revision, an upward revision of 0.5 percentage points.

Apart from 2023 — which was an exceptional year when Germany was hit harder by the energy crisis than any other country — these positive revisions are more pronounced in Europe than in the United States. This is not closing the growth gap between the two regions, but it is narrowing it somewhat. The development of innovations and their contribution to growth may thus be harder to capture, especially in the short term, but they have a positive impact.

**Growth figures reflect, in particular, long-term trends: structural GDP growth, or so-called “potential” growth. Our analysis shows that, as soon as statistical agencies are able to estimate it more accurately, growth figures come out higher.**

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